

EXECUTED TOGETHER WITH YOUR FUNDING AGREEMENT

The Customers Who Pay You

Before your funding clears — the recurring revenue that anchors your agreement.

Your funding package is enclosed. **This short form is executed together with the commercial agreement that follows it** — the two documents work as one package and are signed at the same time.

Completing it carefully is important. Once this form and the commercial agreement are signed, our team moves to the final verification steps — a quick bank login review and a confirmation of your recurring revenue — before funding clears. The clearer the information you provide here, the smoother those final steps go.

The more completely you fill this out, the faster your funding clears the last review — with fewer questions and fewer delays.

WHAT'S INSIDE THIS PACKET

I.

What This Is

A plain-English page explaining how this form fits into your funding package and what final steps remain before funding clears.

II.

The Form Itself

Two short sections where you identify the customers and payment processors that account for your recurring revenue, then sign together with the commercial agreement.

HOW THIS FITS TOGETHER

Your Funding Package

This form, the commercial agreement, and the final steps before funding clears.

This form is part of a commercial, business-purpose financing arrangement documented by the commercial agreement that follows it. You'll sign both at the same time. After signing, our team completes a short bank verification and final revenue review before funding clears. Here's a clear picture of what this is and what happens next.

WHAT THIS IS

A commercial business arrangement

This form is an informational schedule executed together with, and forming part of, a commercial business-purpose financing arrangement between your business and our company. The full terms — including how funds are provided and how amounts are collected from your future business receipts — are set out in the commercial agreement signed with this form.

WHAT THIS ISN'T

Not a consumer credit product

This is not a personal loan, a mortgage, or a consumer credit product. It is intended solely for business purposes, not for personal, family, or household use. Please review the full commercial agreement carefully before signing, and feel free to consult your own legal, tax, or financial advisor if you'd like.

WHY COMPLETING THIS CAREFULLY MATTERS

01

Faster Funding

The clearer your recurring revenue is documented here, the faster our final bank verification and revenue review can clear — meaning faster funding.

02

Fewer Follow-Ups

Complete, accurate answers mean our team doesn't have to come back with questions that slow the final verification step.

03

Smoother Servicing

Getting this right up front sets up a clean working relationship once funded — a partnership that starts on solid footing.

What Happens After You Sign

Once this form and the commercial agreement are signed, our team completes two final steps before funding clears: a short bank login review to verify deposits, and a confirmation of the recurring revenue you've listed here. We rely on the accuracy and completeness of what you provide as part of those final checks. If anything in those final checks raises a question or contradicts what's on this form, we may follow up with you, adjust terms, or decline to proceed, in each case as provided under the commercial agreement.

THE FORM

Your Most Reliable Customers

List the businesses or people who pay you regularly.

Think about how money reaches your business on a consistent basis. If customers pay you directly by check, ACH, or invoice — list them as **Account Debtors** in Section A. If your revenue flows through a payment processor (for example, card sales handled by Square, Stripe, Toast, TSYS, Global, Clover, or any other processor), list the processor in Section B. Many businesses will use both sections. **List any Account Debtor or processor that individually accounts for more than 10% of, or that is part of the group making up at least 60% of, your recurring revenue over the last 90 days.** These are who our team will confirm during the final revenue-verification step.

SECTION A

Direct-Paying Customers

Businesses or people who pay your business directly — invoice, check, ACH, or contract.

One

CUSTOMER'S BUSINESS NAME

CUSTOMER WHO PAYS YOU

CITY & STATE (OR WEBSITE)

WHAT YOU DO FOR THEM

ABOUT HOW MUCH PER MONTH

HOW OFTEN THEY PAY

HOW LONG TOGETHER

weekly · biweekly · monthly

months or years

SPECIAL CHARACTERISTICS — IF ANY

e.g., government payor, healthcare, individual consumer, contract restricts assignment — or leave blank

Two

CUSTOMER'S BUSINESS NAME

CUSTOMER WHO PAYS YOU

CITY & STATE (OR WEBSITE)

WHAT YOU DO FOR THEM

ABOUT HOW MUCH PER MONTH

HOW OFTEN THEY PAY

HOW LONG TOGETHER

weekly · biweekly · monthly

months or years

SPECIAL CHARACTERISTICS — IF ANY

e.g., government payor, healthcare, individual consumer, contract restricts assignment — or leave blank

Three

CUSTOMER'S BUSINESS NAME

CUSTOMER WHO PAYS YOU

CITY & STATE (OR WEBSITE)

WHAT YOU DO FOR THEM

ABOUT HOW MUCH PER MONTH

HOW OFTEN THEY PAY

HOW LONG TOGETHER

weekly · biweekly · monthly

months or years

SPECIAL CHARACTERISTICS — IF ANY

e.g., government payor, healthcare, individual consumer, contract restricts assignment — or leave blank

THE FORM, CONTINUED

Your Payment Processors

Where card sales and processor-aggregated revenue flow through before reaching your bank.

If your business accepts credit cards, debit cards, mobile payments, or any other processor-handled revenue — list each processor below. **We ask for several identifying details because processors are often resold or white-labeled**, and the underlying processor (not the merchant-facing brand) is what matters for verification and servicing. You don't need to know everything — just fill in what you know. Our team will confirm the rest during the final verification step.

One

PAYMENT PROCESSOR

PROCESSOR OR MERCHANT SERVICE NAME

MERCHANT ID (MID)

e.g., Square, Stripe, Toast, Clover, TSYS, Global, Fiserv — or your provider's name

full MID, or at minimum the first 6-8 digits

SPONSOR BANK

STATEMENT ISSUED BY

listed at the bottom of your monthly processing statement

the legal entity name on your monthly processing statement

STATEMENT DESCRIPTOR

GATEWAY (IF ANY)

how your business name appears on your customers' card statements

e.g., Authorize.net, NMI, Cardknox — or leave blank if unsure

AVERAGE MONTHLY VOLUME

FUNDING BANK & LAST 4

approximate dollars processed per month

where settled funds are deposited

Two

PAYMENT PROCESSOR

PROCESSOR OR MERCHANT SERVICE NAME

MERCHANT ID (MID)

e.g., Square, Stripe, Toast, Clover, TSYS, Global, Fiserv — or your provider's name

full MID, or at minimum the first 6-8 digits

SPONSOR BANK

STATEMENT ISSUED BY

listed at the bottom of your monthly processing statement

the legal entity name on your monthly processing statement

STATEMENT DESCRIPTOR

GATEWAY (IF ANY)

how your business name appears on your customers' card statements

e.g., Authorize.net, NMI, Cardknox — or leave blank if unsure

AVERAGE MONTHLY VOLUME

FUNDING BANK & LAST 4

approximate dollars processed per month

where settled funds are deposited

BEFORE YOU SIGN

The Record

What you're confirming by signing this form, together with your commercial agreement.

PLEASE READ CAREFULLY BEFORE SIGNING

Accuracy and authority. By signing below, you confirm that the information on this form is true, correct, and complete in all material respects as of today, to the best of your knowledge after a reasonable look at your own records, invoices, processor statements, and bank activity, and that you have not omitted any party that represents a material portion of your recurring revenue (meaning, any Account Debtor or Payment Processor that individually accounts for more than 10%, or that is part of the group comprising at least 60%, of your trailing-90-day recurring receivables or processed volume, as applicable). You confirm that you are authorized to sign on behalf of your business, and that any funds that may be advanced under the commercial agreement will be used exclusively for business purposes (not personal, family, or household use).

Informed, independent commercial decision. You acknowledge that this is an arm's-length commercial transaction between sophisticated business parties; that we are not acting as your financial advisor, fiduciary, or agent; and that nothing in this form is individualized legal, tax, or financial advice. You confirm that you have independently evaluated this transaction as a business decision, that you have had the opportunity to ask questions about the transaction and to consult with legal, tax, or financial advisors of your own choosing, and that you are not relying on any statements made by any broker, ISO, or other third party that are not contained in the commercial agreement or this form. You further acknowledge that no representation has been made to you that your business will generate any specific level of revenue, or that any particular funding outcome will occur.

Nature of the transaction. You acknowledge and agree that this transaction is a true sale of a specified portion of your future business receipts, and that we assume the risk of a slowdown in your business or the insolvency of any Account Debtor, provided you have not breached any representation or covenant in this form or the commercial agreement. You understand that payments under the commercial agreement are derived solely from your business receipts and are not a fixed or absolute repayment obligation, and that you retain the right to request reconciliation of purchased amounts in accordance with the terms expressly set forth in the commercial agreement. You retain full control over your business operations, customers, and decision-making, subject only to the terms expressly set forth in the commercial agreement, and you acknowledge that any administrative fees described in the commercial agreement represent fair and reasonable costs of servicing this commercial transaction — they are not interest.

Integration, reliance, and verification. This form is executed together with, and forms part of, the commercial agreement you are signing with us today, and is a material schedule to that agreement. Without limitation, it is incorporated by reference into, and supplements, the Merchant representations and covenants set forth in **SECTIONS 2.1, 1.7, 1.12, 1.13, AND 1.22** of the commercial agreement. We will rely on the accuracy and completeness of what you have written here both in entering into the commercial agreement today and in completing the final bank verification and revenue review before funding clears, and you acknowledge that we would not enter into the commercial agreement on the terms set forth, or proceed with funding, without the information provided in this form. Any material misstatement or omission may constitute a breach of your representations under the commercial agreement. To your knowledge after reasonable inquiry, and except as disclosed to us in writing, the recurring receivables from the Account Debtors and Payment Processors listed above have not been sold, pledged, assigned, or promised to any other party. If any information on this form changes in a meaningful way between today and the day funding clears, you will notify us in writing before funding happens. You authorize us and our representatives to verify the information provided through review of your records, invoices, processor statements, bank statements, publicly available information, and follow-up with you directly. You acknowledge that, in the event of default under the commercial agreement, and as provided by that agreement and applicable law (including UCC § 9-406), enforcement may include our notifying the Account Debtors, Payment Processors, sponsor banks, and any other party holding receivables on your behalf of the assignment of amounts they owe you and directing them to pay us instead, along with other lawful remedies available to us. In return, we commit that information you have shared will be used only for legitimate business purposes directly related to evaluating, underwriting, documenting, servicing, administering, complying with law, or enforcing the commercial agreement — and will not be used for any unrelated or competitive purpose, in each case in accordance with applicable law.

Scope, conflict, and reservation of rights. This form is an informational schedule that is executed together with your commercial agreement and does not replace any separate disclosures required by law. It is intended to supplement, and not modify, your commercial agreement; in the event of any conflict, the commercial agreement controls, and nothing in this form creates any new remedies beyond those set forth in the commercial agreement. If you sign electronically, you agree your electronic signature has the same legal effect as a handwritten one under the federal E-SIGN Act and applicable state law, and that the electronic record is an original for all purposes. **Signing this form and the commercial agreement does not, by itself, mean funding will be released.** Funding clears only after our final bank verification and revenue review are completed to our satisfaction. If those final checks surface fraud, material misrepresentation, a material adverse change in your business, or any other condition that, in our reasonable judgment, materially affects the transaction, we may decline to fund, adjust proposed terms, or exercise any other remedy available to us, in each case as provided under the commercial agreement and applicable law. All of our rights and remedies under the commercial agreement and applicable law are expressly reserved, and nothing in this form waives any of them.

I certify under penalty of perjury under the laws of the United States and the state in which my business is principally located that the statements I have made in this form and in this certification are true, correct, and complete to the best of my knowledge after reasonable inquiry.

SIGNATURE PAGE

Authorized Signature

Signed together with the commercial agreement, in accordance with the representations on the preceding page.

BY SIGNING BELOW, I CONFIRM THE FOLLOWING

- The information I have provided in this form is true, correct, and complete to the best of my knowledge after reasonable inquiry.
- This form is executed together with, and forms a material schedule to, my commercial agreement with the Company.
- I am authorized to sign on behalf of my business, and I have had the opportunity to ask questions and consult advisors of my own choosing.
- I certify under penalty of perjury, under the laws of the United States and the state in which my business is principally located, that the statements above and in the preceding certification are true, correct, and complete.

AUTHORIZED SIGNATURE

DATE

YOUR TITLE

PRINTED NAME

BUSINESS LEGAL NAME

I, JULIO VELAZQUEZ VILLALOBOS, on behalf of Seller, hereby acknowledge, fully agree with and understand:

- I am aware of my rights and responsibilities under the reconciliation clause of this contract.
- I understand and acknowledge that there have been no promises of additional capital from East Shore Equities SMB, LLC ("ESE") or any ISO (broker) beyond what is explicitly mentioned in this contract.
- I am informed that according to the current policy, I can seek additional capital from ESE once they have paid 70% of the receipts purchased amount.
- I acknowledge that ESE does not permit outside fees, and no discussions have taken place regarding additional fees. The fee amount for this agreement is \$1,560, which will be deducted from the funding amount.
- I confirm that there have been no contacts or communications from Third Party Debt Companies regarding this agreement dated 05/04/26.
- I have personally chosen the ISO (Broker) who introduced me to ESE, and I understand that the ISO acts as an independent third party. Furthermore, I am aware that ESE has not conducted any investigation into the ISO's marketing, background, or business practices. Therefore, I agree to hold ESE and its agents, affiliates, or associates harmless and indemnify them against any issues, claims, damages, liabilities, losses, suits, costs, and expenses arising from interactions with the ISO.
- Additionally, upon my execution of this contract, I hereby consent to provide a copy of this signed contract to the ISO or Broker.
- Appendix A: The Fee Structure comprehensively outlines all fees, including but not limited to bounced/returned/NSF payment and default fees, and explains how these fees are assessed, charged, and applied. I have thoroughly read, understood, and agreed to Appendix A: The Fee Structure. I am fully aware of the fees, how to avoid them, and the automatic assessment and application process without further notice to me.
- I agree that this agreement is not a loan but a purchase of my future receipts and receivables. I acknowledge and understand my rights and responsibilities under this agreement, the Uniform Commercial Code (UCC) and all applicable law.
- ESE enters into this agreement based on the understanding that the funds advanced to me through this purchase will not be used for personal, family, or household purposes. I confirm that I am a valid business, entering into this Agreement solely for business purposes, and not as a consumer for personal, family, or household purposes. I acknowledge and agree that I am not entitled to the rights and protections granted to consumers under federal and state laws pertaining to consumer loans. Furthermore, I authorize ESE, along with its parents, directors, shareholders, collection agents, attorneys, agents, and employees, to contact me via text, telephone call, mail, or email regarding any status updates or collection attempts related to this contract or any outstanding debt I may have with ESE.
- In the event of a default, my clients may receive UCC 9-406 notices.
- Regardless of any collection action taken by ESE or its representatives or agents, ESE reserves the right to continue debiting payments from my account until the outstanding balance, along with applicable fees, is paid in full.
- I have had ample opportunity to consult with an attorney of my choosing regarding the terms and clauses of this agreement. ESE has advised me to seek legal counsel, and I confirm that I have taken the time to review and understand all clauses and terms of this agreement. Specifically, I am aware of my rights and responsibilities under the "reconciliation clause" and understand that I have the right to inform ESE and provide notification if any adjustments need to be made to the "Initial Estimated Remittance Amount" as outlined in this agreement.
- I acknowledge and agree that ESE may contact my clients, payment processors, or Accounts/Account Debtors (as defined under the UCC) at any time (before, during and after this funding) to verify records, accounting or my standing. I further indemnify and hold ESE harmless from any claims, including but not limited to lost revenue or damaged relationships, arising from such communications.

I, the undersigned acknowledge that I have read, comprehended, and accepted all the provisions stated above. which are also described in detail within the page of this document.

Signature

Date

Initials: _____

Initials: _____

AGREEMENT FOR PURCHASE AND SALE OF FUTURE RECEIVABLES (hereinafter "PSFRA", which together with the SELLER AGREEMENT TERMS AND CONDITIONS, the SECURITY AGREEMENT, the PERSONAL GUARANTY(S) OF PERFORMANCE, the POWER OF ATTORNEY, APPENDIX A: THE FEE STRUCTURE, SCHEDULE A: LIST OF MERCHANT ENTITIES, and any appendices and addenda hereto and executed in conjunction herewith, shall be collectively referred to as the "Agreement"), made at the specific insistence and request of the entities listed below ("Seller") on 05/04/26 and made within the State of New York, County of Nassau, by and between East Shore Equities SMB, LLC., mailing address at P.O. Box 18, Centereach, NY 11720 (the "Company"), and Seller, having an office at 9115 Creek Run, Ladson, SC 29456-3514.

*** Fee Schedule: See Appendix A: The Fee Structure**

** Estimated Remittance Amount represents a good faith estimate of the monetary value of the purchased percentage of daily or weekly receipts based upon historical information provided by Seller and is subject to adjustment to more precisely reflect the actual purchased percentage of daily or weekly receipts pursuant to paragraph 1.4 of this Agreement.

+ + This amount is calculated as the Purchase Price less any Origination Fees set forth in the above Appendix A: The Fee Structure. Please note: In the event of a renewal or a Payoff of a third party, the "Total Amount Seller Will Receive" referenced above will account for payoff of your current outstanding balance or funds paid to satisfy a designated third party.

WHEREAS, Seller intends to assign, and Company intends to purchase, a portion of Seller's future receivables; and

WHEREAS, Seller hereby, for the purchase price set forth above (the "Purchase Price") less any Origination Fees set forth above, does sell, demise and assign the Purchased Percentage of Seller's future receivables, future accounts, future contract rights and other future obligations arising from or relating to the future payment of monies received by Seller (collectively "Future Receipts"), as set forth below (the "Purchased Percentage"), to Company, whether the proceeds are paid by Cash, ACH, Check, Credit Card, Debit Card, Bank Card, Charge Card, PayPal, Venmo, Zelle, electronic transfer or any other form of payment in the ordinary course of the Seller's business, for the payment of Seller's sale of goods or services (collectively, the "Purchased Amount" or "RTR") until the Company has received the specified Purchased Amount above; and

WHEREAS, Company acknowledges that its recovery of the Purchased Amount is dependent upon Seller's success and that so long as Company receives its Purchased Percentage of Future Sale Proceeds as required hereunder, the amount of time necessary for Company to recover the Purchased Amount is indefinite;

NOW, THEREFORE, for good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Seller hereby declares, covenants, and agrees as follows:

PURCHASE PRICE:	PURCHASED AMOUNT / RTR	PURCHASED PERCENTAGE	ESTIMATED REMITTANCE AMOUNT**	FREQUENCY	TOTAL AMOUNT SELLER WILL RECEIVE++
\$13,000	\$19,487	4.9%	\$149.90	daily	\$11,440

Seller:	JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference							
D/B/A	JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference							
Type of Business Entity	Corp		Limited Liability Company	☒	Partnership		Limited Partnership	
	Limited Liability Partnership			Sole Prop		Entity State	SC	
Physical	9115 Creek Run, Ladson, SC 29456-3514							
Mailing	9115 Creek Run, Ladson, SC 29456-3514							
EIN#	32-0677887							
Email	jldelectric21@gmail.com							

THE TERMS, DEFINITIONS, CONDITIONS AND INFORMATION SET FORTH WITHIN THIS PSFRA, the SELLER AGREEMENT TERMS AND CONDITIONS, the SECURITY AGREEMENT, the PERSONAL GUARANTY(S) OF PERFORMANCE, APPENDIX A: THE FEE STRUCTURE, the POWER OF ATTORNEY and any appendices and addenda thereto (COLLECTIVELY, THE "Agreement" ARE HEREBY INCORPORATED IN AND MADE A PART OF THIS instrument and it is intended that references to the "Agreement" within this PSFRA, the SELLER AGREEMENT TERMS AND CONDITIONS, the SECURITY AGREEMENT, the PERSONAL GUARANTY(S) OF PERFORMANCE, APPENDIX A: THE FEE STRUCTURE, SCHEDULE A: LIST OF MERCHANT ENTITIES, the POWER OF ATTORNEY and any appendices and addenda thereto are intended to incorporate all terms contained within the aforesaid documents.

PURCHASE AND SALE OF FUTURE RECEIVABLES: Seller hereby sells, assigns and transfers to Company (making Company the absolute owner) in consideration of the Purchase Price specified herein, the Purchased Percentage received by Seller from all of Seller's Future Sale Proceeds until the Purchased Amount has been delivered by Seller to Company.

Seller represents that it is engaged in a commercial enterprise and that this transaction shall only be used for commercial or business purposes, in the ordinary course of business, and not for personal, family, or household purposes. Accordingly, Seller acknowledges that important duties imposed upon Company, and important rights conferred upon a consumer, pursuant to certain federal or state laws, do not apply to this Agreement.

Seller, being duly authorized to do so, hereby agrees to deposit all Future Sale Proceeds into the following Bank Account (or such other Bank Account as may be designated by Seller and approved by the Company prior to the use of such other Bank Account pursuant to the provisions hereof) (the "Designated Bank Account"):

Account Number: 334079788931

Routing Number: 061000052

Seller hereby irrevocably authorizes the Purchased Amount to be delivered to Company by Seller's Bank and Seller's Bank is, accordingly, authorized to permit Automated Clearing House ("ACH") debits initiated by Company for the Estimated Remittance Amount as specified above, or, in the event of reconciliation relating to such Estimated Remittance Amount, such other amounts as may be appropriate to reflect the Purchased Percentage of actual Receipts, the source of which shall be Seller's deposits, revenues and other receipts and that this authorization shall continue until such time as Company receives the Purchased Amount. Seller hereby authorizes Company to Institute ACH Debit transaction(s) and/or "Reverse Wire" transactions for the Estimated Remittance Amount or, in the event of reconciliation, such other amounts as are commercially reasonable from the Seller's Bank Account on a daily or weekly basis and will provide Seller with any and all required authorizations and/or access codes to effectuate such ACH Debit. The Seller agrees, as specifically delineated in the TERMS AND CONDITIONS, to provide the Company, upon request, with all monthly bank statements, Merchant Processing statements, and accounting records from clients or Account Debtors. The Company reserves the right to verify the accounting information directly with the Account Debtors, or to verify the bank statements and Merchant Processing statements by directly accessing the respective accounts through commercially reasonable electronic means. Company is not responsible for any overdrafts or rejected transactions that may result from Company ACH debiting the specified amounts authorized under the terms of this Agreement. Notwithstanding anything to the contrary in this Agreement, upon the violation of any provision regarding account access or the occurrence of an Event of Default, Seller acknowledges that such interference materially impairs Company's ownership interest in the Purchased Receipts. In such event, Company's remedies shall include the recovery of the Default Balance as liquidated damages as provided for in the TERMS AND CONDITIONS. The exercise of such remedies represents the recovery of the value of Company's owned property and does not constitute the acceleration of a debt or a fixed repayment obligation, and Company shall be entitled to such amounts together with any other legally permissible relief from the date of such Event of Default.

To the extent set forth herein, each of the parties is obligated upon their execution of the Agreement to all terms of the Agreement, including the Additional Terms set forth within the **SELLER AGREEMENT TERMS AND CONDITIONS, THE SECURITY AGREEMENT, THE PERFORMANCE GUARANTY, THE POWER OF ATTORNEY, APPENDIX A: THE FEE STRUCTURE, AND ANY OTHER EXHIBITS AND/OR APPENDICES HERETO**. Each of the undersigned Seller and Owner/ Guarantor represents that they are authorized to sign this Agreement for Seller, legally binding said Seller to honor this obligation and that the information provided herein and in all Company documents, forms and interviews is true, accurate and complete in all respects. If any such information is deemed to be materially false or misleading, Seller shall be considered to have material breached all agreements between Seller and Company, and Company shall be entitled to all remedies available under this Agreement and/or applicable law. An investigative or credit report may be obtained in connection with the Agreement. Seller and each of the performance guarantors signing this Agreement authorize Company, its agents and representatives and any credit reporting agency engaged by Company, at any time now or for so long as Seller and/or Performance Guarantor continue to have any obligations to Company as a consequence of this Agreement or for Company's ability to determine Seller's eligibility to enter into any future agreement with Company to: (i) investigate any references given or any other statements or data obtained from or about Seller or any of its Owners for the purpose of this Agreement;

Initials: _____

(ii) obtain consumer and business credit reports on the Seller and any of its Owners; and (iii) to contact personal and business references provided by the Seller in the application.

[Remainder of Page Intentionally Left Blank]

Initials: _____

ANY MISREPRESENTATION MADE BY SELLER OR ANY AGENT OF SELLER IN CONNECTION WITH OR IN THE PROCUREMENT OF THIS AGREEMENT SHALL CONSTITUTE AN IMMEDIATE DEFAULT HEREUNDER.

By: _____

Signature

Print Name and Title

JULIO VELAZQUEZ VILLALOBOS/Owner

SS# 976-95-6559

By: _____

Signature

Print Name and Title

/Owner

SS#

OWNER/GUARANTOR #1

By: _____

Signature

Print Name and Title

JULIO VELAZQUEZ VILLALOBOS/Owner

OWNER/GUARANTOR #2

By: _____

Signature

Print Name and Title

/Owner

Initials: _____

SELLER AGREEMENT TERMS AND CONDITIONS

These SELLER AGREEMENT TERMS AND CONDITIONS ("Terms"), which incorporate additional terms to the AGREEMENT FOR PURCHASE AND SALE OF FUTURE RECEIVABLES, the SECURITY AGREEMENT, the PERSONAL GUARANTY(S) OF PERFORMANCE, the POWER OF ATTORNEY, APPENDIX A: THE FEE STRUCTURE and any appendices and addenda hereto and executed in conjunction herewith, (which shall be collectively referred to as the "Agreement") apply to the Agreement and you agree and understand that these SELLER AGREEMENT TERMS AND CONDITIONS apply, regardless of their means of delivery to you. By entering into the Agreement, you indicate that you have read and accept these SELLER AGREEMENT TERMS AND CONDITIONS, including these applicable Additional Terms and agree to abide by and be bound by all such Terms (as modified from time to time). Please note that we may change these Terms from time to time by delivering such updated Terms via the notice provisions contained within these Terms. We draw your attention to the JURY TRIAL WAIVER; COUNTERCLAIM WAIVER; CLASS ACTION WAIVER; CONSENT TO SERVICE and ARBITRATION PROVISION contained in Section IV below.

1. TERMS OF ENROLLMENT IN PROGRAM

- 1.1. **Seller Deposit Agreement.** Seller shall take all necessary measures acceptable to Company, with a bank acceptable to Company, to ensure that Company is able to withdraw the Purchased Percentage through Automated Clearing House ("ACH") debits. Seller shall also, prior to funding and as reasonably requested from time-to-time, provide Company and/or its authorized agent with all of the information, documents, authorizations and passwords necessary for verifying Seller's receivables, receipts and deposits into the account. Seller authorizes Company and/or its agents to deduct the amounts purchased by Company as specified herein from settlement amounts which would otherwise be due to Seller from its revenues and to pay such amounts to Company by permitting Company to withdraw the Purchased Percentages) by ACH debiting of the Designated Bank Account. The authorization shall be irrevocable without the written consent of Company.
- 1.2. **Term of Agreement.** This Agreement shall remain in full force and effect until the earlier of: (i) the entire Purchased Amount and any other amounts due to Company are received by Company as per the terms of this Agreement; or (ii) the Seller shall, **not having had a prior event of default hereunder**, cease business operations in good faith; or (iii) Seller shall, **not having had a prior event of default hereunder**, be adjudicated insolvent pursuant to Title 11 of the United States Code or a State Insolvency Law.
- 1.3. **Future Purchases.** Company reserves the right to rescind the offer to make any purchase payments hereunder in its sole discretion after which time this Agreement will be cancelled without further cost to either Company or Seller.
- 1.4. **Reconciliation of Specific Estimated Remittance Amount.** The Estimated Remittance Amount is intended to represent the Purchased Percentage of Seller's daily Receipts. Because Seller's revenue may fluctuate, either party may request, and Company shall perform, a reconciliation to ensure the total amount remitted equals the Purchased Percentage of actual Receipts during any period. Any Reconciliation Request by Seller must be in

writing and sent to Submissions@EastShoreEquities.com. Seller shall provide bank statements for the period at issue; however, Company may provide a secure electronic link to verify bank activity electronically, and completion of such link shall be deemed sufficient Documentation for any request. Company shall complete the reconciliation within three (3) business days of receiving Documentation or link completion. If the reconciliation shows an overpayment, Company shall, in a commercially reasonable manner, either issue a cash refund via ACH within five (5) business days or apply the amount as a credit to future remittances; provided, however, that if Seller has ceased operations (absent an Event of Default), Company shall issue a cash refund for the full overpayment. A material variance between Estimated Remittances and actual Receipts, as reflected in bank activity, constitutes grounds for a Reconciliation Request. Nothing herein shall be construed to create a fixed repayment obligation or a guarantee of Receipts.

Seller and Company acknowledge that the Company has purchased the RTR on a "non-recourse" basis, such that there is no set term wherein Company expects to receive the RTR. The Company recognizes that the time within which the RTR will be recovered may be indefinite or, in the event of a good faith cessation of Seller's business operations, see section 1.2 *supra*, not at all.

CALCULATION OF ESTIMATED REMITTANCE AMOUNT. Company calculates a dollar amount to be remitted daily or weekly by Seller, which amount shall be a good-faith estimate of the Purchased Percentage of Seller's Future Receipts based upon the financial information supplied to Company by Seller (the "Estimated Remittance Amount"). Unless modified pursuant to this section 1.4 (the "Initial Estimated Remittance Amount").

1.5. Intentionally omitted.

- 1.6. **Financial Condition.** Seller and Guarantor authorize Company and its agents to investigate their financial history and will provide Company with all financial records as reasonably requested, including, but not limited to, any bank or financial

Initials: _____

statements, tax returns, merchant processing statements and access to online financial records as Company deems necessary prior to or at any time after execution of this Agreement. A photocopy of this authorization will be deemed acceptable for release of financial information. Company is authorized to update such information and financial profiles from time to time as it deems appropriate. Seller agrees, upon the Company's request, to provide contact information, including the name, email address, and telephone number, for all customers of the Seller who have made payments to the Seller within the last 180 days. This information is requested to further enable the Company's ability to verify the Seller's financial condition. Seller further authorizes the Company to contact Seller's customers directly to verify the accounting of payments made by such customers to the Seller.

- 1.7. Transactional History.** Seller authorizes their bank(s), financial institution(s), brokers) and merchant processors) to provide Company with Seller's banking or processing history to determine qualification or continuation in this program.
- 1.8. Indemnification.** Seller and Guarantor jointly and severally indemnify and hold harmless any ACH processor utilized by Company, its officers, directors and shareholders against all losses, damages, claims, liabilities and expenses (including reasonable attorney's fees) incurred by ACH Processor resulting from: (a) claims asserted by Company for monies owed to Company from Seller; and (b) actions taken by ACH Processor in reliance upon information or instructions provided by Company.
- 1.9. No Liability.** In no event will Company be liable for any claims asserted by Seller under any legal theory for lost profits, lost revenues, lost business opportunities, exemplary, punitive, special, incidental, indirect or consequential damages, each of which is waived by Seller and Guarantor.
- 1.10. Sale of Receipts. SELLER IS SELLING A PORTION OF ITS FUTURE RECEIPTS TO COMPANY AT A DISCOUNT, NOT BORROWING MONEY FROM COMPANY. THERE IS NO INTEREST RATE OR PAYMENT SCHEDULE AND NO TIME PERIOD DURING WHICH THE PURCHASE AMOUNT MUST BE COLLECTED BY COMPANY. THE GOOD-FAITH CESSATION OF BUSINESS OPERATIONS, AN EVENT OF INSOLVENCY (INCLUDING, BUT NOT LIMITED TO, FILING FOR PROTECTION UNDER THE UNITED STATES BANKRUPTCY CODE OR A STATE ASSIGNMENT FOR THE BENEFIT OF CREDITORS ACTION) SHALL NOT - IN AND OF ITSELF - BE DEEMED AN EVENT OF DEFAULT HEREUNDER.** Company is entering into this Agreement knowing the risks that Seller's business may experience a decrease in revenue or cease operations in good faith and Company assumes these risks based on Seller's representations, warranties and covenants in this Agreement, which

are designed to give Company a reasonable and fair opportunity to receive the benefit of its bargain. Seller and Company agree that the Purchase Price under this Agreement is in exchange for the Purchased Amount and that such Purchase Price is not intended to be, nor shall it be, construed as a loan from Company to Seller. Seller agrees that the Purchase Price is in exchange for a percentage of Seller's Future Receipts pursuant to this Agreement and equals the fair market and present value of such Receipts. Company has purchased and shall own all the Receipts described in this Agreement up to the full Purchased Amount as the Receipts are created. Payments made to Company in respect to the full amount of the Receipts shall be conditioned upon Seller's sale of products and/or services and the payment therefore by Seller's customers in the manner provided in Section 1.1. It is acknowledged that the Seller shall have a fiduciary responsibility for the safekeeping of the Purchased Percentage, whether or not in Seller's immediate possession or control. Seller shall not employ or permit another to employ such Purchased Percentage in any manner except as provided for herein. Provided Seller shall comply with each of its performance obligations hereunder, Seller shall remain in good standing hereunder.

Notwithstanding any recitation set forth herein, including, but not limited to, a recitation of "Annual Percentage Rate" ("APR") mandated by applicable law or regulation, it is expressly agreed and understood by the Company and Seller that in no event shall the aggregate of all amounts be deemed as interest hereunder. The parties acknowledge that it is intended that Seller does not pay or contract to pay, and that Company does not receive or contract to receive, directly or indirectly, in any manner whatsoever, interest. Nevertheless, In the event a court of competent jurisdiction determines, notwithstanding the intent of the parties to the contrary, that Company has charged or received interest hereunder in excess of the highest rate allowed by applicable law, then the Purchased Amount shall be adjusted automatically by operation of this clause, so that the difference between the Purchased Amount and the Purchase Price shall, if expressed as an interest rate over such term of this Agreement as the ruling court has determined to apply, yield a rate equivalent to the maximum rate permitted by applicable law. Company shall, in such case, promptly refund to Seller any amount received by Company in excess of the maximum lawful rate of interest, it being intended that Seller not pay or contract to pay, and that Company not receive or contract to receive, directly or indirectly, in any manner whatsoever, interest in excess of that which may be paid by Seller under applicable law. For the avoidance of doubt, Seller again acknowledges that Seller is selling a portion of Future Receipts to Company at a discount and not borrowing money from Company. As such, there is no interest rate or payment schedule and no time period during which the Purchased Amount must be collected by

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Company.

By executing this Agreement, Seller hereby represents and acknowledges that the Initial Estimated Remittance Amount, set forth above, accurately represents the Purchased Percentage of Seller's Future Receipts.

1.11. Reliance on Terms. Sections 1.1, 1.8, 1.9 and 2.5 of this Agreement are agreed to for the benefit of Seller, Company and any ACH processor. ACH processors are an intended third-party beneficiary of said provisions and may rely upon their terms for any purpose whatsoever, including, but not limited to, interposing this indemnification as a defense in any legal action.

1.12. Power of Attorney. Seller irrevocably appoints Company as its agent and attorney-in-fact with full authority to take any action or execute any instrument or document to settle all obligations due to Company under this Agreement, including, without limitation, (i) to obtain and adjust insurance at Company's expense; (i) to collect monies due or to become due under or in respect of any of the Collateral; (ii) to receive, endorse and collect any checks, notes, drafts, instruments, documents or chattel paper in connection with clause (i) above; (iii) to cancel, modify, repudiate or terminate any contractor agreement; (iv) to sign Seller's name on any invoice, bill of lading, or assignment directing customers or account debtors to make payment directly to Company; (v) to file any claims or take any action or institute any proceeding which Company may deem necessary for the collection of any of the undelivered Purchased Amount from the Collateral, or otherwise to enforce its rights with respect to payment of the Purchased Amount; (vi) to obtain information concerning any deposit accounts maintained by Seller directly from the financial institution(s) maintaining such account(s) including, but not limited to, balances and account numbers; (viii) to direct the payment of the proceeds of any such deposit account(s) to Company or Company's designee or Company's nominee. Company shall provide twenty-four (24) hours' notice to Seller via email prior to notifying Account Debtors under UCC § 9-406. However, no such notice is required if the Event of Default involves: (i) closing the Bank Account, (ii) intentional blocking of ACH access, (iii) redirection of receipts to an unapproved account, or (iv) proactive interference with Company's ownership. In such cases of active interference, Company may exercise 9-406 rights immediately.

Seller, likewise, irrevocably appoints Company as its agent and attorney-in-fact with full authority to take any action or execute any instrument or document to settle all obligations due to Company in the event of a violation by Seller of section 1.13 or the occurrence of an Event of Default under any provision hereof by Seller.

1.13. EVENTS OF DEFAULT. The following events shall constitute an event of default and the Company may

utilize any and all remedies listed or any other remedy available to it under applicable law or equity, with or without notice, to address such default(s):

- (a) Seller takes any action, fails to prevent any action or permits any action which frustrates the Company's use of electronic check, ACH processing or Seller Account "Split" to settle any obligations due pursuant to this Agreement;
- (b) Seller takes any action, fails to prevent any action or permits any action which frustrates Company's ability to retrieve its designated percentage of receivables from Seller including, but not limited to, directing its financial institution to dishonor ACH debits originated by Company. It is expressly agreed and understood that should Company receive an ACH return code of R02, R05, R07, R08, R10, R11, or R29, or such other return code that shall replace any of the foregoing as defined at the time of this Agreement, as a result of any ACH debit initiated pursuant to the Agreement, that such return code shall, in and of itself, constitute an event of deliberate default hereunder;
- (c) Seller fails to rectify or provide a replacement Designated Bank Account within three (3) business days of Company receiving an R16 ACH return code;
- (d) Seller changes the merchant processor through which its sales are settled to another merchant processor, or permits any event to occur that could cause diversion of any of Seller's sales to another Merchant Processor without seven (7) days advance notice to Company;
- (e) Seller voluntarily interrupts the operation of its business in bad faith (e.g., other than good-faith business failure, casualty, state of emergency, natural disasters, acts of God or other good-faith basis which Seller has communicated, within forty-eight (48) hours of its occurrence and in writing, to Company), transfers, moves, sells, disposes, transfers or otherwise conveys its business or assets without: (i) the express prior written consent of Company; and ii) the written agreement of any purchaser or transferee to the assumption of all of Seller's obligations under this Agreement pursuant to documentation satisSecured Party to Company unless any such transfer occurs in conjunction with a good-faith filing pursuant to Title 11 of the United States Code;
- (f) Seller takes any action, fails to take any action, or offers any incentive - economic or otherwise - the result of which will be to induce any customers) to pay for Seller's products and/or services with any means other than payments, checks, or deposits that are settled through the Designated Bank Accounts);
- (g) Seller fails to respond to any communications, including electronic mail communications,

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initiated by Company concerning any dishonor of any ACH debit initiated by Company for a period exceeding 72 hours or 2 business days, whichever is longer;

- (h) Seller shall violate any term or covenant in this Agreement;
- (i) Any representation or warranty by Seller in this Agreement or in the underwriting of this Agreement shall prove to have been false or misleading in any material respect when made;
- (j) Seller shall have a fiduciary obligation to safeguard Company's Purchased Percentage and insure Company's receipt of same in accordance with the terms of this Agreement;
- (k) Seller shall, without notice to Company, transport, move, interrupt, suspend, dissolve, or terminate its business without a good-faith basis;
- (l) Seller shall use multiple depository accounts without the Company's prior written consent;
- (m) Seller shall change the Designated Bank Account without the Company's prior written consent;
- (n) Seller shall default under any of the terms, covenants, and conditions of any other agreement with Company;
- (o) Seller or Guarantor shall attempt to repudiate any of its obligations hereunder;
- (p) Seller shall utilize its business bank or financial account(s) for non-business-related expenses;
- (q) Failure of Seller to comply with its obligations pursuant to paragraph 1.20, *infra*; or
- (r) Seller shall fail to provide Company with any requested bank or financial statements within three (3) business days of such request by Company.
- (s) Three (3) or more attempted transfers of funds (if Daily) or Two (2) or more (if weekly) from a deposit account of Seller are dishonored by Seller's bank without Company's prior written consent

1.14. Remedies.

(I) If any Event of Default occurs, Company may utilize, but is not limited to, all remedies set forth within this section 1.14. All rights, powers and remedies of Company in connection with this Agreement may be exercised at any time by Company after the occurrence of an Event of Default, are cumulative and not exclusive, and shall be in addition to any other rights, powers or remedies provided by law or equity, to wit:

- (a) proceed to protect and enforce its rights or remedies by Confession of Judgment, Confession of Award or similar process (as permitted by law), or by suit in equity and/or by action at law or by arbitration proceeding,

whether for the specific performance of any covenant, agreement or other provision contained herein, injunction, or to enforce the discharge of Seller's obligations hereunder (including the Personal Guarantee) or any other legal or equitable right or remedy in the amount of the Purchase Amount stated in the Agreement together with all fees due under this Agreement and the attached Security Agreement, including, but not limited to, any collection fees, default fees, and costs;

- (b) immediately liquidate and deem due the full uncollected Purchase Amount plus all fees due under this Agreement, and the attached Security Agreement including, but not limited to, any collection or default fees, and Upon Default, Company is entitled to recover as Liquidated Damages—and not as a penalty—the full uncollected Purchased Amount plus the fees in Section 3.11 (the 'Default Balance'). This obligation represents the direct loss of Company's owned property caused by Seller's interference and is not an acceleration of a debt;
- (c) enforce the provisions of the Personal Guarantee of Performance against the Guarantor(s). It is expressly agreed and understood that in conjunction with this provision, Company may disclose personal identifying information including, but not limited to, the social security number of any guarantor(s) to third parties with which Company communicates in its exercising of any remedies available to Company;
- (d) enforce its security interest in the collateral. It is expressly agreed and understood that in conjunction with this provision, Company may disclose identifying information, including, but not limited to, the FEIN Number or Social Security Number of Seller or any guarantor(s) to third parties with which Company communicates in its exercising of any remedies available to Company;
- (e) proceed to protect and enforce its rights and remedies by lawsuit. In any such lawsuit, if Company prevails against Seller, Seller shall be liable for all of Company's associated legal fees, costs, and expenses, including, but not limited to, all reasonable attorney's fees and court costs;
- (f) exercise its rights under any assignment of lease without prior notice to Seller. This Agreement shall be deemed Seller's assignment of Seller's lease of Seller's business premises and operations to Company;
- (g) debit Seller's depository accounts, wherever situated, by means of ACH debit or facsimile signature on a computer-generated check drawn on Seller's bank accounts) or otherwise for all sums due to Company;

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- (h) utilize the Power of Attorney accompanying this Agreement to direct the payment of any amounts due to the Company directly from any receivable or deposit account due to the Company;
- (i) Seller acknowledges and admits that it has a fiduciary obligation to safeguard and segregate the Future Sales purchased in conjunction with this Agreement. Company shall, therefore, be entitled in addition to any other remedy to which it may be entitled in law or in equity) to injunctive relief and/or specific performance to enforce such obligations, and if any action should be brought in equity to enforce any of the provisions of this Agreement, none of the parties hereto shall raise the defense that there is an adequate remedy at law.

(II) In addition to any of the aforementioned remedies, Seller shall pay to Company all reasonable costs, including, but not limited to, all reasonable attorney's fees and court costs, associated with: (i) a breach by Seller of the covenants in this Agreement and the enforcement thereof; (ii) the enforcement of Company's remedies set forth within this section 1.14 and with respect to Company's enforcement of those remedies, it is expressly agreed and understood that the Company's collection fees shall be liquidated at the sum of 33.33% of any amounts due to Company and that such liquidated amount shall not be construed as a penalty; and (iii) the defense of any action or proceeding commenced against Company with respect to this Agreement by Seller or any third party. Each of the above additional remedies are intended to be cumulative. In addition to the foregoing, Company shall also be entitled to the following fees, as applicable:

- (a) Each time a payment is rejected for insufficient funds an NSF Fee of \$150.00 is charged;
- (b) On the first instance of any ACH Debit being rejected with a National Automated Clearing House Association ("NACHA") return code of R05, R07, R08, R10, R11, or R29, or such other return code that shall replace any of the foregoing as defined at the time of this Agreement, a "Stop Payment" fee of \$2,500.00 is charged ("Stop Payment Fee"). As applicable, a Stop Payment Fee shall be assessed for each Designated Bank Account provided by Seller for which an R05, R07, R08, R10, R11, or R29 code is returned;
- (c) On the first occurrence of any event of default, for any reason, a default fee of 35% of any outstanding RTR balance or \$3,000.00, whichever is greater, is charged. This is in addition to any other fees set forth within this Agreement.
- (d) the foregoing additional remedies contemplated in this subsection (II) are in addition to any other remedies provided for herein and the court

costs and collection fees liquidated at the sum of 33.33% set forth within this section 1.14 are in addition to any rights of indemnification that Company may be entitled to within this Agreement.

- (e) The parties acknowledge and agree that a breach of this Agreement will damage Company and that by their nature such damage(s) are difficult to ascertain. Accordingly, the parties acknowledge and agree that the various liquidated damages provisions in this section 1.14 are reasonable, not a penalty and solely intended to compensate Company for damages incurred.

1.15. Required Notifications. Seller shall give Company written notice within 24 hours of any filing under Title 11 of the United States Code. Seller is required to give Company seven (7) days' written notice prior to the closing of any sale of all or substantially all of the Seller's assets or stock.

1.16. Publicity. Seller and each of Seller's owners and all guarantors hereby authorize Company to use its, his or her name in listings of clients and in advertising and marketing materials.

1.17. D/B/As. Seller hereby acknowledges and agrees that Company may be using "doing business as" or d/b/a names in connection with various matters relating to the transaction between Company and Seller including but not limited to the filing of UCC-1 financing statements.

1.18. Application of Payments. Subject to applicable law and generally accepted accounting principles, Company reserves the right to apply payments in any manner Company chooses.

1.19. Inspection of Collateral and Place of Business; Accounting. Company or its designated representatives and agents shall have the right, during Seller's normal business hours, and at any other reasonable times and without notice to Seller, to examine Company's bank and merchant processing statements and/or the collateral where located and the interior and exterior of any of Seller's places of business. Any such examination of any of Seller's business may include, among other things, whether Seller: (a) has a place of business that is separate from any personal residence; (b) is open for business; (c) has sufficient inventory to conduct its business; and (d) has one or more point-of-sale terminals to process credit, debit, and/or bank card transactions. When performing an examination, Company or its designated representatives and agents may photograph the interior and exterior of any of Seller's places of business, including any signage and point-of-sale terminals, and may photograph any principal of the Seller. Company or any of its agents shall have the right to inspect, audit, check, and make extracts from any copies of the books, records, journals, orders, receipts, and/or correspondence that relate to Seller's accounts or other transactions between the parties thereto and

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the general financial condition of Seller, and Company may remove any of such records temporarily for the purpose of having copies made thereof. Company shall have the right to hire a Certified Public Accountant, licensed in the state where the business is located, to perform analysis of the accounting records for the purpose of determining if the Purchased Percentage of receipts has been made available for remittance to Company. Seller hereby agrees to fully cooperate with such analysis upon the Company's request. In furtherance of the above, Seller agrees to provide current Bank and Merchant Processing account statements) upon Company's Request together with real-time access to any and all of Seller's bank, deposit, merchant or other financial accounts) via an online banking aggregation service, including, but not limited to, upSWOT, Decision Logic and Plaid, provided by Company to Seller at the time of underwriting or via the on-line portal of Seller's financial institution(s) (collectively, the "Online Bank Access*). It is agreed and understood that Company shall be entitled, and may at its sole discretion, periodically monitor Seller's financial accounts) whether or not such accounts) were disclosed prior to entering into the Agreement, via Online Bank Access, that the ability to access such information is a material term of consideration under this Agreement and that the withholding or removal of such access shall, upon five (5) days' written notice, constitute a material breach of this Agreement.

1.20. Overages. Seller hereby acknowledges and agrees that, in the event of any renewal of the Program, any payment overages shall be applied to its renewal balance unless otherwise requested prior to such renewal. In the event Seller does not opt to renew its participation in the Program, overages (if any) shall be returned within a reasonable time after completion of the Program and after satisfaction of any and all fees and costs provided herein.

1.21. Third Party Agents. Seller hereby acknowledges and agrees that it shall not utilize, retain or otherwise engage any unlicensed agent ("Agent") to communicate with reference to Seller's obligations under this Agreement without the express written consent of Company, and that in no event shall Company communicate with any such Agent irrespective of any authorizations that may be provided to Company absent such required written consent. Seller further agrees and understands that it shall be required to disclose any and all fees and contracts, proposed or otherwise, relative to any such Agent, and hereby directs such Agent to disclose any and all fees, contracts and communications between Agent and Seller to Company.

1.22. Additional Costs.

- (a) Monthly Program Fee. In addition to the other fees provided for herein, Company shall be entitled, without notice or invoice, to a nonrefundable monthly fee of \$95 to be

collected via ACH Debit and which shall be due for each month, or portion thereof, during the term of this Agreement. Said fee shall be due and owing upon the first mensiversary of the date of this Agreement and on every mensiversary of the date of this Agreement while Seller maintains a balance due to Company. Each monthly fee shall be earned upon Company's receipt thereof in consideration of Company's accepting this engagement and servicing the instant transaction as described herein and shall in no way be deemed to represent a diminution of the purchase price set forth herein. It is hereby agreed and acknowledged that this monthly program fee represents the fair and reasonable cost incurred by the Company in its ongoing servicing. At the sole discretion of the Company, the Company may elect to accrue the monthly fee balance and collect it through payments equal to the Initial Estimated Remittance Amount.

- (b) UCC subordination fee. In addition to the other fees provided for herein, Company shall be entitled, without notice or invoice, and at Company's sole discretion, to a nonrefundable fee of \$500 each time Company subordinates Company's security interest to another party.
- (c) Bank Change Fee- \$50.00 -- This fee is charged each time when Seller requires a change of bank account to be debited, requiring Company to adjust its system.

2. REPRESENTATIONS, WARRANTIES AND COVENANTS. Seller represents warrants and covenants that, as of this date, and, unless expressly stated otherwise during the term of this Agreement:

2.1. Financial Condition and Financial Information.

Seller's and Guarantor's bank and financial statements, copies of which have been furnished to Company, and future statements which will be furnished to Company hereafter UPON REASONABLE REQUEST of Company are genuine and fairly represent the Average Daily or Weekly Receipts of Seller at such dates and since those dates there have been no material adverse changes, financial or otherwise, in such condition, operation or ownership of Seller. Seller further represents that it has disclosed any and all Bank and Merchant Processing Accounts maintained by Seller and/or its affiliates to Company. Seller and Guarantor affirmatively represent that they are in compliance and shall remain in compliance and not in default of any contractual obligations. Seller and Guarantor have a continuing affirmative obligation to inform Company of any material adverse change in their Average Daily or Weekly Receipts, operation or ownership. Company may request statements at any time during the performance of this Agreement and the Seller and Guarantor shall provide them to Company within three (3) business days of such a

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request. Failure to do so is a material breach of this Agreement.

- 2.2. Governmental Approvals.** Seller is in compliance and shall remain in compliance with all laws. Seller represents that it holds all necessary permits, licenses, and authorizations to operate, own and lease its properties and to conduct the business in which it is presently engaged and/or will engage in hereafter.
- 2.3. Authorization.** Seller and the person(s) signing this Agreement on behalf of Seller have full power and authority to incur and perform the obligations under this Agreement, all of which have been duly authorized.
- 2.4. Insurance.** Company reserves the right to take insurance at Company's expense.
- 2.5. Processing and Banking Agreement.** Seller will not change its Merchant Processor, financial institution or bank account(s) or take any other action ("Changes") that could have an adverse effect upon Seller's obligations under this Agreement, including but not limited to, restricting Company's ability to withdraw ACH payments from Seller's accounts), without Company's prior written consent, and shall provide Company with written authorization(s) as necessary, from time to time, to permit Company to ACH debit Seller's account. Notwithstanding any of the foregoing, it is expressly agreed and understood that any such Changes effectuated without Company's prior written consent shall be a material breach of this Agreement.
- 2.6. Change of Name or Location.** Seller will not conduct Seller's businesses under any name other than as disclosed to the Processor and Company, nor shall Seller change any of its places of business without Company's prior written consent.
- 2.7. No Insolvency.** As of the date of this Agreement, Seller represents that it is operational, operating in the normal course of business, is not insolvent and does not contemplate filing for bankruptcy or foresee any significant change in circumstances that would negatively impact its projected revenues within the foreseeable future. Seller further represents that it has not consulted with a bankruptcy attorney or debt consolidation company within the past six (6) months. Seller also represents that: (a) it has not filed or contemplated filing any petition for bankruptcy protection under Title 11 of the United States Code; it has not filed or contemplated filing an insolvency proceeding (sometimes referred to as an "Assignment of the Benefit of Creditors") pursuant to federal or any state law; and that (c) there is no involuntary petition for bankruptcy protection under Title 11 of the United States Code brought or pending against Seller, nor does Seller anticipate that an involuntary petition will be filed against it.

NOTWITHSTANDING ANY OF THE FOREGOING WHICH MAY SUGGEST THE CONTRARY, IT IS EXPRESSLY AGREED AND UNDERSTOOD THAT

A BANKRUPTCY OR INSOLVENCY FILING BY SELLER SHALL NOT, IN AND OF ITSELF, CONSTITUTE A DEFAULT HEREUNDER.

- 2.8. Working Capital Funding.** Seller shall not enter into any arrangement, agreement or commitment that relates to or involves the Future Receipts or invoices, whether in the form of a purchase of, a loan against, collateral against or the sale or purchase of credits against, Future Receipts or future check sales with any party other than Company without Company's prior written approval.
- 2.9. Unencumbered Receipts.** Seller has good, complete and marketable title to all Future Receipts, free and clear of any and all liabilities, liens, claims, changes, restrictions, conditions, options, rights, mortgages, security interests, equities, pledges and encumbrances of any kind or nature whatsoever or any other rights or interests that may be inconsistent with the transactions contemplated with, or adverse to, the Company's interests. Seller shall disclose to Company any additional funding pursuant to any similar agreement presently in effect.
- 2.10. Business Purpose.** Seller represents that it is a valid business presently operating and in good standing under all of its contractual obligations and under the laws of the jurisdictions in which it is organized and/or operates, and Seller is entering into this Agreement for commercial / business purposes and not as a consumer for personal, family or household purposes. Seller further represents that no aspects) of its business are presently impaired.
- 2.11. Leases.** Seller represents that it is in good standing under any premises leases) wherein Seller conducts business ("Leased Premises") and that Seller is entitled to remain in possession of such Leased Premises for a period of at least 360 days from the date of this Agreement.
- 2.12. Default Under Other Contracts.** Seller explicitly represents that its execution of and/or performance under this Agreement will not cause or create an event of default by Seller under any contract with another person or entity.
- 2.13. Simultaneous Funding.** Seller hereby represents that it has not and shall not receive or request any additional funding pursuant to any similar Agreement with any other entity within 30 days hereof and shall not request or receive any additional funding or enter into any Secured Party arrangement within 30 days hereof without Company's prior written consent.
- 2.14. Good Faith.** Seller and Guarantors) hereby affirm that Seller is receiving the Purchase Price and selling Company the Purchased Amount in good faith and will use the Purchase Price funds to maintain and grow Seller's business. Based upon Seller's and Guarantor's calculations and experience in operating Seller's business, Seller and Guarantors) are confident that the Purchase Price paid by Company in exchange for the Purchased Amount of Future Receipts constitutes fair

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consideration for the present value of such Future Receipts and will be used in a manner that will benefit Seller's current and future business operations.

3. MISCELLANEOUS

- 3.1. Modifications; Agreements.** No modification, amendment, waiver, or consent of any provision of this Agreement shall be effective unless the same shall be in writing and signed by Company.
- 3.2. Assignment.** Company may assign, transfer, or sell its rights to receive the Purchased Amount or delegate its duties hereunder, either in whole or in part.
- 3.3. Notices.** Except as otherwise provided in this Agreement, all notices and other communications hereunder shall be deemed to have been sufficiently given when sent via electronic mail to Seller/Obligor and Submissions@eastshoreequities.com and/or when mailed, postage prepaid, via 2-3 day shipping through a nationally recognized courier, including, but not limited to, the USPS, FedEx or UPS, such notices or communications to be addressed as follows:

If to the Company:

East Shore Equities SMB, LLC.
Attn: Legal Department
5788 Merrick Rd STE 205, Massapequa NY 11758
Submissions@eastshoreequities.com

If to Obligor(s):

9115 Creek Run, Ladson, SC 29456-3514
jlelectric21@gmail.com

or at such other address as the party to whom such notice or demand is directed may have designated in writing to the other party hereto by notice as provided in this Section 3.3. Each of the parties hereto shall have the right to rely on written notice sent by electronic mail as an original notice given hereunder. Each of the signatories to this Agreement irrevocably consents to service of process by Certified Mail at the address listed with the Notices provision of this Agreement contained within this paragraph. Each of the signatories to this Agreement agrees that its submission to jurisdiction and consent to service of process by mail is made for the express benefit of each of the other signatories to this Agreement.

- 3.4. Waiver of Remedies.** No failure on the part of Company to exercise, and no delay in exercising, any right under this Agreement shall operate as a waiver thereof, nor shall any single or partial exercise of any right under this Agreement preclude any other or further exercise thereof or the exercise of any other right. The remedies provided hereunder are cumulative and not exclusive of any remedies provided by law or equity.

3.5. Binding Effect; Governing Law, Venue and Jurisdiction. This Agreement shall be binding upon and inure to the benefit of Seller, Company and their respective successors and assigns, except that Seller shall not have the right to assign its rights hereunder or any interest herein without the Company's prior written consent which consent may be withheld in Company's sole discretion. Company reserves the rights to assign this Agreement with or without prior written notice to Seller. This Agreement shall be governed by and construed in accordance with the procedural and substantive laws of the State of New York, without regard to any applicable principles of conflicts of law. Any suit, action or proceeding arising hereunder, or the interpretation, performance or breach hereof, shall, if Company so elects, be instituted in the state courts located within the State of New York, County of Nassau and/or those federal courts having jurisdiction over the State of New York, County of Nassau (the "Acceptable Forums"). Seller agrees that the Acceptable Forums are convenient to it and submits to the jurisdiction of the Acceptable Forums and waives any and all objections to jurisdiction or venue. Seller further submits to the jurisdiction of the Acceptable Forums over all depository accounts irrespective of their location or whether the subject banking institution deems themselves a separate entity. Should such proceeding be initiated in any other forum, Seller waives any right to oppose any motion or application made by Company to transfer such proceeding to an Acceptable Forum.

3.6. Survival of Representation, etc.

All representations, warranties and covenants herein shall survive the execution and delivery of this Agreement and shall continue in full force until all obligations under this Agreement shall have been satisfied in full and this Agreement shall have terminated.

- 3.7. Severability.** If any of the provisions in this Agreement are found to be invalid, illegal, or unenforceable in any respect, the validity, legality, and enforceability of any other provision contained herein shall not in any way be affected or impaired.

- 3.8. Interpretation.** All parties acknowledge that: (i) they understand the seriousness of the provisions of this Agreement, including, but not limited to, that this Agreement constitutes a non-recourse purchase and sale of future receivables, and that this Agreement includes a Jury Trial Waiver, a provision providing for the arbitration of disputes, a waiver on class, collective and/or representative actions, a Security Agreement and Guaranty(s) of performance of Seller's obligations under the Agreement hereon; and (ii) all parties and signatories have had a full opportunity to consult with counsel of their choice in their preferred language or have decided not to avail themselves of that opportunity. The parties to this Agreement acknowledge that this Agreement is a result of extensive negotiations between the parties and that this Agreement shall be construed without regard to any presumption or rule requiring

Initials: _____

construction or interpretation against the party drafting or causing any instrument to be drafted.

3.9. Monitoring, Recording and Solicitations. Seller and Guarantor authorize Company, its affiliates, agents, marketing partners and independent contractors to contact Seller and Guarantor at any telephone number Seller or Guarantor provides to Company or from which Seller or Guarantor places a call to Company or any telephone number where Company believes it may reach Seller or Guarantor, using any means of communication including, but not limited to, calls, or text messages to mobile, cellular, wireless or similar devices or calls or text messages using an automated telephone dialing system and/or artificial voices or prerecorded messages, even if Seller or Guarantor incurs charges for receiving such communications. Seller and Guarantor also agree that Company, its affiliates, agents, and independent contractors may use any other medium not prohibited by law including, but not limited to, mail, email, and facsimile to contact Seller or Guarantor. Seller or Guarantor expressly consent to conduct business by electronic means. Seller acknowledges and agrees that Company may monitor and/or record any communications and Seller consents to such monitoring and/or recording by Company. Seller or Guarantor are not required to agree to this section 3.9 in order to enter into this Agreement. If Seller or Guarantor wish to opt out of this section 3.9 or wish to change how Company contacts them for marketing purposes, such request shall be made in writing in accordance with the notice provisions of this Agreement.

4. JURY TRIAL WAIVER; COUNTERCLAIM WAIVER; CLASS ACTION WAIVER; CONSENT TO SERVICE; ARBITRATION.

4.1. JURY TRIAL WAIVER. The parties hereto waive trial by jury in any court in any suit, action or proceeding on any matter arising in connection with or in any way related to the transactions of which this Agreement is a part or the enforcement hereof. The parties hereto acknowledge that each makes this waiver knowingly, willingly, and voluntarily and without duress, and only after extensive consideration of the ramifications of this waiver with their attorneys.

4.2. CLASS ACTION WAIVER. The parties hereto waive any right to assert any claims against the other party as a representative or member in any class, representative or collective action, except where such waiver is prohibited by law as against public policy. To the extent either party is permitted by law or court of law to proceed with a class representative or collective action against the other, the parties hereby agree that: (1) the prevailing party shall not be entitled to recover attorneys' fees or costs associated with pursuing the class or representative action (notwithstanding any other provision in this Agreement); and (2) the party who initiates or participates as a member of the class will not submit claim or otherwise participate in any recovery secured through the class, collective or representative action.

4.3. WAIVER OF COUNTERCLAIMS. Seller waives the right to interpose any counterclaim in any court in any suit, action or proceeding on any matter arising in connection with or in any way related to the transactions of which this agreement is a part or the enforcement hereof. Seller acknowledges that it makes this waiver knowingly, willingly, and voluntarily and without duress, and only after extensive consideration of the ramifications of this waiver with their attorneys.

4.4. ARBITRATION. Notwithstanding the foregoing, any dispute, claim or controversy arising out of or relating to this Agreement, the Security Agreement or the guaranty(s) herein, or the breach of any of the said Agreement, Security Agreement or the guaranty(s), shall be, at the election of either party, settled by arbitration administered by Mediation and Civil Arbitration, Inc. d/b/a RapidRuling (www.rapidruling.com) in accordance with its Arbitration Rules & Procedures effective at the time a claim is made, and judgment on the award rendered by the arbitrator(s) may be entered in any court having jurisdiction thereof. An election to arbitration by either party shall be deemed effective by the commencement of an arbitration proceeding with Mediation and Civil Arbitration, Inc. The parties consent to electronic service of process, with service to be made to the following email addresses jldelectric21@gmail.com and Submissions@eastshoreequities.com and/or when mailed, postage prepaid, via 2-3-day shipping through a nationally recognized courier, including, but not limited to, the USPS, FedEx or UPS, such notices or communications to be sent to the addresses provided in section 3.3 hereof. For the avoidance of doubt, lack of actual receipt or refusal to accept delivery shall not affect the effectiveness of any such notice or communication provided that such notice is properly directed to the above-mentioned email address(es). The parties agree that, in the event of confirmation and enforcement, the delinquent party will be responsible for any attorney, court or other fees associated with such action. The parties agree to split all Mediation and Civil Arbitration, Inc. d/b/a RapidRuling fees evenly and the commencing party shall be entitled to any unreimbursed monies paid on behalf of the non-commencing party within any award.

5. NO UCC-3 (TERMINATION) FILING OR ISSUANCE OF A ZERO BALANCE LETTER UNTIL COMPLETE TERMINATION (AS DEFINED HEREIN): In recognition of the Company's entitlement to its attorney's fees, default fees, and other expenses (as outlined in Appendix A and in this Agreement) incurred in connection with this Agreement and

secured by the Collateral, and notwithstanding the payment in full of the Purchased Amount, the Company shall not be obligated to record any terminations or satisfactions

Initials: _____

of any of its liens on the Collateral, nor issue any letters stating that there is a zero balance owed, unless and until the following conditions have been fully satisfied: (1) Payment and/or fulfillment in full of all obligations of the Seller to the Company, and (2) execution and delivery of a general release or termination documents, in a form reasonably acceptable to the Company, by the Seller and all guarantors of the obligations (collectively, conditions 1 and 2 constitute a "Complete Termination"). The Seller acknowledges that this provision constitutes a waiver of its rights under UCC 9-513.

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Initials: _____

Entire Agreement. Any provision of this Agreement prohibited by law shall be ineffective only to the extent of such prohibition without invalidating the remaining provisions hereof. This Agreement together with the Security Agreement, Personal Guaranty of Performance, Power of Attorney and any schedules or addenda hereto, unless specifically enumerated within a writing subscribed to by all parties hereto, embody the entire agreement between Seller and Company and supersede all prior agreements and understandings, including any representations by Seller's broker to Seller, relating to the subject matter hereof but shall not vitiate, supersede or cancel any concurrent agreement or guaranty presently in effect involving any of the parties hereto unless such concurrent agreement or guaranty presently in effect is specifically referenced in an addendum, appendix or exhibit executed in conjunction with this Agreement. It is further agreed and understood that Seller is not required to utilize a broker to consummate this transaction, that any broker involved in the procurement of this Agreement is an agent of the Seller and that any fees paid by Seller to its broker is separate and apart from this Agreement. Any words used in this Agreement in the singular, where the context so permits, shall be deemed to include the plural and vice versa. The definitions of words in the singular in this Agreement shall apply to such words when used in the plural where the context so permits and vice versa.

SELLER #1

By: _____

Signature

Print Name and Title
JULIO VELAZQUEZ VILLALOBOS/Owner
SS# 976-95-6559

SELLER #2

By: _____

Signature

Print Name and Title
/Owner
SS#

OWNER/GUARANTOR #1

By: _____

Signature

Print Name and Title
JULIO VELAZQUEZ VILLALOBOS/Owner

OWNER/GUARANTOR #2

By: _____

Signature

Print Name and Title
/Owner

Initials: _____

Initials: _____

GUARANTY - PERSONAL GUARANTY(S) OF PERFORMANCE

This PERSONAL GUARANTY OF PERFORMANCE is entered into in conjunction with that certain AGREEMENT FOR PURCHASE AND SALE OF FUTURE RECEIVABLES (hereinafter "PSFRA", which together with the SELLER AGREEMENT TERMS AND CONDITIONS, the SECURITY AGREEMENT, the PERSONAL GUARANTY(S) OF PERFORMANCE, the POWER OF ATTORNEY, APPENDIX A: THE FEE STRUCTURE and any appendices and addenda hereto and executed in conjunction herewith, shall be collectively referred to as the "Agreement"), made at the specific insistence and request of JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC, and each additional entity listed in Schedule A attached hereto and incorporated herein by reference ("Seller") on this date 05/04/26 and made within the State of New York, County of Nassau, by and between East Shore Equities SMB, LLC., mailing address at 5788 Merrick Rd STE 205, Massapequa, NY 11758 (the "Company"), and Seller, having an office at 9115 Creek Run, Ladson, SC 29456-3514.

Company is buying the Purchased Amount of Future Receipts knowing the risks that Seller's business may slow down or fail, and Company assumes these risks based on Seller's representations, warranties and covenants in the Agreement which are designed to give Company a reasonable and fair opportunity to receive the benefit of its bargain.

Guarantors represent that they (i) will derive a direct or indirect economic benefit from the Agreement; and (ii) are directly or indirectly involved in the business operations of Seller.

Accordingly, as further consideration under the Agreement, the undersigned Guarantor hereby: (i) reaffirms that this Agreement evidences the purchase and sale of Receivables and does not constitute a loan; and ii) unconditionally guarantees to Company, Seller's good faith, truthfulness and performance of all of the representations, warranties, covenants made by Seller in the Agreement and as each agreement may be renewed, amended, extended, or otherwise modified (the "Guaranteed Obligations").

Seller and Guarantor acknowledge that this Guaranty is not a personal guaranty of payment, but of performance.

Scope of Guaranty. Guarantor's obligations are due at the time of any breach by Seller of any representation, warranty, or covenant made by Seller in the Agreement. In the event Seller fails to perform any of the Guaranteed Obligations, Company may recover from Guarantor(s) for all of Company's losses, damages, and remedies specified in section 1.14 of the Agreement by enforcing its rights under this Guaranty without first seeking to obtain payment from Seller, any other guarantor, or any Collateral, Additional Collateral or Cross- Collateral Company may hold pursuant to the Agreement or any other agreement or guaranty.

In the event that Company must return any amount paid by Seller or any other guarantor of the Guaranteed Obligations because that person has become subject to a proceeding, including, but not limited to, proceedings under the United States Bankruptcy Code or any state counterpart, Guarantor(s)' obligations under the Agreement and this Guaranty shall include that amount. For the avoidance of doubt, an event of insolvency (including, but not limited to, filing for protection under the United States Bankruptcy Code or a state assignment for the benefit of creditors action) shall not - in and of itself - be deemed an event of default under the Agreement and/or this Guaranty.

Guarantor Waivers. Guarantor hereby expressly waives any requirement that Company notify Guarantor of any of the following events and, as such, Guarantor will not be released from their obligations under the Agreement and this Guaranty if it is not notified of:

i. Seller's breach of its performance obligations under the Agreement; ii. any adverse change in Seller's financial condition or business; iii. any sale or other disposition of any collateral securing the Guaranteed Obligations or any other guarantee of the Guaranteed Obligations; iv. Company's acceptance of the Agreement; or v. any renewal, extension or other modification of the Seller Agreement or Seller's other obligations to Company.

In addition, Company may take any of the following actions without releasing Guarantor from any of its obligations under the Agreement:

i. renew, extend, or otherwise modify the Agreement or Seller's other obligations to Company; ii. release Seller from its obligations to Company; iii. sell, release, impair, waive, or otherwise fail to realize upon any collateral securing the Guaranteed Obligations or any other guaranty of the Guaranteed Obligations; and iv. foreclose on any collateral securing the Guaranteed Obligations or any other guaranty of the Guaranteed Obligations in a manner that impairs or precludes the right of Guarantor(s) to obtain reimbursement for payment under the Agreement or this Guaranty. Until the Purchased Amount plus any of Seller's other obligations to Company under the Agreement are satisfied, Guarantor(s) shall not seek reimbursement from Seller or any other guarantor for any amounts paid by it under this Agreement or Guaranty. Guarantor(s) permanently waive and shall not seek to exercise any of the following rights that they may have against Seller, any other guarantor, or any collateral provided by Seller or any other guarantor, for any amounts paid by it, or acts performed by it, under the Agreement or this Guaranty: a)

subrogation; b) reimbursement; c) performance; d) indemnification; or e) contribution.

Guarantor Acknowledgement. Guarantor(s) acknowledge that they understand the seriousness of the provisions of this Guaranty, including, but not limited to, that the Agreement constitutes a non-recourse purchase and sale of future receivables, and that the Agreement includes a Jury Trial Waiver, a provision providing for the arbitration of disputes, a waiver on class actions, collective and/or representative actions, a Security Agreement and Guaranty(s) of performance of Seller's obligations under the Agreement; and that, prior to entering into the Agreement and this Guaranty, all parties and signatories have had a full opportunity to consult with counsel of their choice in their preferred language or have decided not to avail themselves of that opportunity. The parties to this agreement acknowledge that the Agreement is a result of extensive negotiations between the parties and that the Agreement shall be construed without regard to any presumption or rule requiring construction or interpretation against the party drafting or causing any instrument to be drafted.

Joint and Several Liability. The obligations hereunder of the persons or entities constituting Guarantors under this Guaranty are joint and several.

Jurisdiction and Choice of Law. This Guaranty and the rights and obligations of the parties hereunder shall be construed in accordance with and governed by the laws of the State of New York. The state courts located In Nassau County, State of New York, and the federal courts within the Eastern District of New York (as applicable) shall have exclusive jurisdiction over all legal proceedings relating to this Guaranty.

JURY TRIAL WAIVER. The parties hereto waive trial by jury in any court in any suit, action, or proceeding on any matter arising in connection with or in any way related to the transactions of which the Agreement and/or this Guaranty is a part or the enforcement hereof. The parties hereto acknowledge that each makes this waiver knowingly, willingly, voluntarily, and without duress, and only after extensive consideration of the ramifications of this waiver with their attorneys.

WAIVER OF COUNTERCLAIMS. Seller waives the right to interpose any counterclaim in any court in any suit, action, or proceeding on any matter arising in connection with or in any way related to the transactions of which the Agreement and/ or this Guaranty is a part or the enforcement hereof. Seller acknowledges that it makes this waiver knowingly, willingly, voluntarily, and without duress, and only after extensive consideration of the ramifications of this waiver with their attorneys.

CLASS ACTION WAIVER. The parties hereto waive any right to assert any claims against the other party as a representative or member in any class, representative, or collective action, except where such waiver is prohibited by law as against public policy. To the extent either party is permitted by law or court of law to proceed with a class, representative, or collective action against the other, the parties hereby agree that: (1) the prevailing party shall not be entitled to recover attorneys' fees or costs associated with pursuing the class or representative action (notwithstanding any other provision in the Agreement); and (2) the party who initiates or participates as a member of the class will not submit a claim or otherwise participate in any recovery secured through the class or representative action. Seller and Guarantor(s) acknowledge that it makes this waiver knowingly, willingly, voluntarily, and without duress, and only after extensive consideration of the ramifications of this waiver with their attorneys.

ARBITRATION. Notwithstanding the foregoing, any dispute, claim, or controversy arising out or relating to the Agreement, the Security Agreement, the Power of Attorney(s) or any Guaranty(s) related to the foregoing, or the breach of any of the said Agreement, the Security Agreement, the Power of Attorney(s) or any Guaranty(s) shall be, at the election of either party, settled by arbitration administered by Mediation and Civil Arbitration, Inc. d/b/a RapidRuling (www.rapidruling.com) in accordance with its Arbitration Rules & Procedures effective at the time a claim is made, and judgment on the award rendered by the arbitrator(s) may be entered in any court having jurisdiction thereof. An election to arbitrate by either party shall be deemed effective by the commencement of an arbitration proceeding with Mediation and Civil Arbitration, Inc. d/b/a RapidRuling. The parties' consent to electronic service of process, with service to be made to the following email addresses jldelectric21@gmail.com and Submissions@eastshoreequities.com and/or when mailed, postage prepaid, via 2-3-day shipping through a nationally recognized courier, including, but not limited to, the USPS, FedEx or UPS, such notices or communications to be sent to the addresses provided in section 3.3 of the Agreement ("Notices"). The parties agree that, in the event of confirmation and enforcement, the delinquent party will be responsible for any attorney, court, or other fees associated with such action. The parties agree to split all Mediation and Civil Arbitration, Inc. fees evenly and the commencing party shall be entitled to any unreimbursed monies paid on behalf of the non-commencing party within any award.

Notices. Except as otherwise provided in the Agreement and/or this Guaranty, all notices and other communications hereunder shall be deemed to have been

sufficiently given when sent via electronic mail to jldelectric21@gmail.com and submissions@eastshoreequities.com and/or when mailed, postage prepaid, via 2-3-day shipping through a nationally recognized courier, including, but not limited to, the USPS, FedEx or UPS, such notices or communications to be addressed as follows:

Initials: _____

• If to Company: East Shore Equities SMB, LLC. Attn: Legal Department 5788 Merrick Rd STE 205, Massapequa NY 11758
Submissions@eastshoreequities.com

• If to Guarantor(s): 9115 Creek Run, Ladson, SC 29456-3514 jldelectric21@gmail.com or at such other address as the party to whom such notice or demand is directed may have designated in writing to the other party hereto by notice as provided in this section. Each of the parties hereto shall have the right to rely on written notice sent by electronic mail as an original notice given hereunder. Each of the signatories to this Guaranty irrevocably consents to service of process by Certified Mail at the addresses listed within this section. Each of the signatories to this Guaranty agrees that its submission to jurisdiction and consent to service of process by mail is made for the express benefit of each of the other signatories to this Guaranty of process by Certified Mail at the addresses listed within this section. Each of the signatories to this Guaranty agrees that its submission to jurisdiction and consent to service of process by mail is made for the express benefit of each of the other signatories to this Guaranty.

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Initials: _____

THE SELLER AGREEMENT TERMS AND CONDITIONS, ALONG WITH ALL DEFINITIONS AND INFORMATION SET FORTH THEREIN ARE HEREBY INCORPORATED IN AND MADE A PART OF THIS GUARANTY. CAPITALIZED TERMS NOT DEFINED IN THE SECURITY AGREEMENT AND GUARANTY, SHALL HAVE THE MEANING SET FORTH IN THE SELLER AGREEMENT, INCLUDING THE TERMS AND CONDITIONS.

OWNER/GUARANTOR #1

By: _____
Signature
Print Name and Title
JULIO VELAZQUEZ VILLALOBOS/Owner
SS# 976-95-6559

OWNER/GUARANTOR #2

By: _____
Signature
Print Name and Title
/Owner
SS#

Initials: _____

East Shore Equities SMB, LLC. - SECURITY AGREEMENT

SECURITY AGREEMENT PARTY INFORMATION

Seller's Legal Name ("Seller")

JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS
DBA JL&D Electric LLC , and each additional entity listed in
Schedule A attached hereto and incorporated herein by
reference

Guarantor(s)' Legal Name(s)

JULIO VELAZQUEZ VILLALOBOS

D/B/A

JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference

Federal TAX ID#

32-0677887

Social Security#

976-95-6559

Personal Guarantor(s)

JULIO VELAZQUEZ VILLALOBOS

Physical Address

9115 Creek Run, Ladson, SC 29456-3514

THIS SECURITY AGREEMENT is entered into by and between East Shore Equities SMB, LLC. ("ESE" or "Company", mailing address at P.O. Box 18, Centereach, NY 11720 and the above-listed Seller(s), having a place of business as listed above, any Guarantors) listed above ("Guarantor(s)"), having a place of business as listed above, and any Personal Guarantor(s) ("Personal Guarantor(s)"), having a place of business as listed above listed above (the Seller, any Guarantor(s), and any Personal Guarantor(s) shall be collectively referred to as, "Obligor(s)", and Obligor(s) together with ESE shall collectively be referred to as, the "Parties"), as security for, and to guarantee the performance and observance of, all obligations and agreements of any kind of Obligor(s) to ESE, however evidenced, whether now existing or hereafter arising, whether direct or indirect, joint or several, primary or secondary, liquidated or unliquidated, secured or unsecured, original or renewed or extended, including, without limitation, those which arise under or in connection with any of the agreements now or hereafter in existence (the "Obligations"), the Parties hereto agree that:

1. ESE and Seller have entered into one or more agreements wherein ESE has purchased a certain sum of Future Receipts from Obligor(s). Said agreements) may hereafter be supplemented, renewed, modified, and/or augmented by way of further agreements for same, in the event of which the instant agreement shall still be considered in full force and effect (the "Agreement").
2. The Future Receipts sold by Seller to Company pursuant to this Agreement are "accounts" or "payment intangibles" as those terms are defined in the Uniform Commercial Code as in effect in the state in which the Seller is located (the "UCC") and such sale shall constitute and shall be construed and treated for all purposes as a true and complete sale, conveying good title to the Future Receipts free and clear of any liens and encumbrances, from Seller to Company. To the extent the Future Receipts are "accounts" or "payment intangibles" then: (i) the sale of the Future Receipts creates a security interest as defined in the UCC; (ii) this Agreement constitutes a "security agreement" under the UCC; and (iii) Company has all the rights of a secured party under the UCC with respect to such Future Receipts. Seller further agrees that, with or without an Event of Default, Company may notify account debtors, or other persons obligated on the Future Receipts, or holding the Future Receipts, of Seller's sale of the Future Receipts, and may instruct them to make payment or otherwise render performance to or for the benefit of Company.
3. Obligor hereby further grants to ESE a security interest (the "Security Interest" in all of Obligor's shares in the Seller or Guarantor entities, all of Obligor LLC interests in any of the Seller or Guarantor(S) entities, Obligor(s) personal property, tangible and intangible, wherever located, whether now owned or hereafter acquired, including, without limitation, contract rights, franchise agreements, copyrights, patents, trade names, trademarks, fixtures, permits, licenses, accounts receivable, deposit accounts, lease rights, and payments due from credit card and bank card companies or processors, and to the extent not otherwise included, all proceeds and products of the foregoing, in whatever form including, without limitation, all payments under insurance, whether or not ESE is the loss payee thereof, all proceeds of any governmental taking, and any indemnity, warranty, letter of credit (including the right to draw on such letter of credit), or guaranty payable by reason of any default under, loss of, damage to, or otherwise with respect to, any of the foregoing (collectively, the "Collateral").
4. Obligor(s) will perform all lawful acts which ESE deems necessary or desirable to protect the Security Interest or otherwise to carry out the provisions of this Agreement, including, but not limited to, the execution of Uniform Commercial Code financing, continuation, amendment and termination statements, and similar instruments and the procurement of waivers and disclaimers of interest in the Collateral by the owners of any real estate on which the Collateral is located. Obligor(s) shall furnish ESE, from

time to time, upon reasonable request, with financial statements as well as written statements and schedules identifying and describing the Collateral in such detail as ESE may require.

5. Obligor hereby authorizes ESE to file, without the signature of Obligor, one or more UCC-1 Financing and/or Continuation Statements, and amendments thereto, relating to the Collateral. Obligor irrevocably appoints ESE as its authorized representative (coupled with an interest), with full authority in the place and stead of Obligor and in its name or otherwise, from time to time, in ESE's discretion, to take any action or execute any instrument which ESE may deem necessary and advisable to accomplish the purposes of this Agreement, including, without limitation:

- (i) to obtain and adjust insurance, at ESE's expense, required to be paid to ESE hereunder;
- (ii) to collect moneys due and to become due under or in respect of any of the Collateral;
- (iii) to receive, endorse, and collect any checks, drafts, or other instruments, document, or chattel paper in connection with clause (i) or clause (ii) above;
- (iv) to sign Obligor's name on any invoice or bill of lading relating to any account, on drafts against customers, on schedules and assignment of accounts, on notices of assignments, financing statements, and other public records, on verification of accounts and on notices to customers and account debtors (including notices directing customers and account debtors to make payment directly to ESE); and
- (v) to file any claims or take any action or institute any proceeding on behalf of Obligor which ESE may deem necessary or desirable for the collection of any of the Collateral or otherwise to enforce the rights of ESE with respect to any of the Collateral.

If Obligor fails to perform under any agreement contained herein, ESE may itself perform, or cause performance of, such agreement, and the costs and expenses incurred by ESE in connection therewith shall be payable by Obligor and shall be fully secured hereby.

The powers conferred upon ESE hereunder are solely to protect its interest in the Collateral and shall not impose any duty upon ESE to exercise any such powers. ESE shall have no duty to Obligor with respect to the Collateral other than the duty to use reasonable care in the safe custody of any of the Collateral in its possession.

Without limiting the generality of the foregoing, ESE, although it may do so at its option, shall be under no obligation to Obligor or any other party to take any steps necessary to preserve rights in the Collateral against other parties or any other rights pertaining to the Collateral, including, without limitation, the

performance of Obligor's obligations under any agreement.

Anything herein to the contrary notwithstanding, (i) Obligor shall remain liable under any contracts and agreements relating to the Collateral, to the extent set forth therein, to perform all of its Obligations thereunder to the same extent as if this Security Agreement had not been executed; and (ii) the exercise by ESE of any of its rights pursuant to the Purchase and Sale of Future Receivables Agreement, this Security Agreement, any Guaranty(s) of performance, any Power of Attorney or ESE's obtaining a judgment shall not release any Obligations under this Security Agreement, any other contracts, or agreements relating to the Collateral.

6. The Obligor may not sell, assign, or otherwise transfer any interest in all or a portion of the Collateral, outside of the ordinary course of business, without first obtaining ESE's written consent. Should such consent be given, Obligor agrees to account to ESE for the proceeds of any such sale, to hold such proceeds in trust for ESE, and to pay same to ESE to be applied against the Obligations of Obligor to ESE. Obligor authorizes ESE to track the whereabouts of any Collateral. Obligor represents and warrants that:

- (i) all of the Collateral is and shall continue to be located at the address set forth above. In the event Obligor utilizes multiple locations in the ordinary course of business, Collateral shall continue to be located at said locations;
- (ii) none of the Collateral shall be removed from such location, outside of the ordinary course of business, unless ESE receives written notice of such removal, stating the address to which such Collateral will be removed, at least thirty (30) days prior to such removal;
- (iii) Obligor is the lawful owner of the Collateral free from any adverse lien, security interest, encumbrance, or any other interest whatsoever, and has the sole right to grant a security interest therein and will defend the Collateral against dilution and all claims and demands of all persons;
- (iv) Obligor will keep the Collateral free and clear of all attachments, levies, taxes, liens, security interests, and encumbrances of every kind and nature;
- (v) Obligor will not, outside of the ordinary course of business, sell, exchange, or otherwise dispose of the Collateral or any of ESE's rights therein or permit any lien or security interest to attach to same (except the lien created by this Agreement), without ESE's prior written consent;
- (vi) Obligor shall execute any written Instruments and do any other acts necessary to effectuate more fully the purposes and provisions of this Agreement,

Initials: _____

including such instruments as ESE may require to perfect ESEs interest therein in any filing office;

- (vii) Obligor will not permit anything to be done that may impair or lessen the value of any of the Collateral or the security interest granted by this Agreement;
 - (viii) Obligor will indemnify and hold ESE harmless from all loss, costs, damage, liability or expense, including reasonable attorney's fees, that ESE may sustain or incur to enforce payment, performance or fulfillment of any of the Obligations secured hereby or In the enforcement of this Agreement and the priority thereof or in the prosecution or defense of any action or proceeding either against ESE or Obligor concerning any matter growing out of or in connection with this Agreement and/or any of the Obligations secured hereby and/or any of the Collateral; and
 - (ix) the execution of this Agreement has been duly approved by the undersigned in any manner required by law.
7. Obligor shall maintain insurance covering the Collateral with financially sound and reputable insurers, satisfactory to ESE against such risks as are customarily insured by a business in the same or similar industry and similarly situated for an amount not less than the full replacement value of such Collateral. All such insurance policies covering property on and after the date the Collateral becomes subject to the Security Interest shall be written so as to be payable in the event of loss to ESE and shall provide for at least 30 days prior written notice to ESE prior to cancellation or modification of each such policy. ESE is hereby appointed as Obligor's irrevocable authorized representative during the term of this Agreement to settle any claims with insurers in the event of loss or damage, and, upon an Event of Default under this Agreement, to cancel, assign, or surrender any insurance policies.
8. The following shall constitute events of default ("Default") under this Agreement and shall be hereinafter referred to as "Default" or "Defaults":
- (i) Default or breach by Obligor of any Obligation under any agreement between Obligor and ESE;
 - (ii) Obligor's failure to comply with any of the terms of this Security Agreement;
 - (iii) any material representation, warranty, or other statement of fact given herein or in any writing at any time furnished by or on behalf of Obligor to ESE in connection with this Agreement or otherwise shall be false or misleading in any material respect when given;
 - (iv) Any event of default pursuant to the PSFRA entered into in conjunction with the instant Security Agreement;
- (v) Judgment or decree is entered appointing a receiver, trustee, liquidator, or conservator of Obligor or any substantial part of its assets by virtue of an allegation of fraud or dishonesty engaged in by Obligor;
 - (vi) a petition under the federal bankruptcy laws or any state insolvency law is filed against Obligor or any guarantor of the Obligations by virtue of an allegation of fraud or dishonesty engaged in by Obligor;
 - (vii) judgments aggregating in excess of \$25,000 are rendered against Obligor or any attachments, injunctions, or executions are issued against any Collateral having an aggregate value in excess of \$25,000; and
 - (viii) Obligor sells or transfers its business, in whole or in part without prior written consent of ESE.
9. Upon any Event of Default, Company may pursue any remedy available at law including those available under the provisions of the Uniform Commercial Code (UCC) or in equity to collect, enforce, or satisfy any obligations then owing, whether by acceleration or otherwise, to wit:
- (i) In the event of a Default, ESE may, in its discretion, deem all of the Obligations of Obligor immediately due and owing without further notice and without legal process, and immediately take possession of the Collateral in furtherance thereof, sell or otherwise dispose of such Collateral or any part thereof, and pursue any and all further rights and remedies it may have under the law including, without limitation, the rights of a secured party under New York law and/or the Uniform Commercial Code. Obligor shall pay all expenses and reimburse ESE for all expenditures, including reasonable attorneys' fees, collection fees, and legal expenses, in connection with ESE's exercise of any of its rights and remedies under this Agreement;
 - (ii) In the event any consent, approval, or authorization of any governmental agency shall be necessary to effectuate any such sale or sales of the Collateral by ESE, Obligor shall execute such instruments as may be required to obtain such consent, approval, or authorization. After deduction of all reasonable costs and expenses of collection, custody, sale, other disposition, delivery, and all other charges (including reasonable attorneys' fees) due against the Collateral, any residue of the proceeds of any such sale or other disposition shall be applied to payment of the Obligations, except as otherwise provided by law or directed by any court of competent jurisdiction thereof. Obligor shall be liable for any deficiency in payment of the Obligations, including all reasonable costs and expenses of collection, custody, sale, other disposition, delivery, and all other charges (including reasonable attorney's fees) secured by the Collateral;

Initials: _____

- (iii) Upon the occurrence of a Default and at any time or times thereafter, subject to the provisions of applicable law, ESE may institute proceedings in any court of competent jurisdiction for the appointment of a receiver of the Collateral or of any part thereof or may by instrument in writing appoint any person to be receiver of the Collateral or any part thereof; and any such receiver appointed by instrument in writing shall have the power to:
- (a) take possession of the Collateral or any part thereof;
 - (b) carry on the business of Obligor;
 - (c) borrow money on the security of the Collateral required for the maintenance, preservation, or protection of the Collateral or any part thereof or for the carrying on of the business of Obligor; and
 - (d) sell, lease, or otherwise dispose of the whole or any part of the Collateral at public auction, by public tender, or by private sale, either for cash or upon credit, at such time and upon such terms and conditions as the receiver may determine; provided that any such receiver shall be deemed the agent of Obligor and ESE shall not be in any way responsible for any misconduct or negligence of any such receiver.
10. Obligor shall be liable for, and Company may charge and collect all costs and expenses, including, but not limited to, attorney's fees provided for within this Agreement, which may be incurred by Company in protecting, preserving, and enforcing Company's security interest and rights.
11. Obligor(s) each agree not to create, incur, assume, or permit to exist, directly or indirectly, any lien on or with respect to any of the Collateral, the Additional Collateral, or the Cross-Collateral, as applicable without prior written consent of ESE and further represent that their execution of and/or performance contemplated under this Agreement will not cause or create an event of default by Obligor(s) under any contract with another person or entity.
12. Company shall have the right to cure Obligor's default in the payment of rent on the following terms. In the event Obligor is served with papers in an action against Obligor for nonpayment of rent or for summary eviction, Company may execute its rights and remedies hereunder and, to the extent permissible by law, deem this document to act as an Assignment of Lease from Obligor to ESE. Obligor also agrees that Company may enter into an agreement with Obligor's landlord giving Company the right: (a) to enter Obligor's premises and take possession of the furnishings, fixtures, therein for the purpose of protecting and preserving same; and (b) to assign Obligor's lease to another qualified operator capable of operating a business comparable to Obligor's at such premises.
13. In the event Obligor shall have defaulted upon its obligations under the Agreement prior to a bankruptcy filing under Chapters 7, 11, or 13 of the Federal Bankruptcy Code, in consideration of the advances made by ESE to Obligor under the Purchase and Sale of Future Receivables Agreement and other good and valuable consideration, Obligor hereby consents to modification of the automatic stay set forth in 11 U.S.C. §362 to allow ESE to immediately take possession of the Collateral, sell same, and apply the sale proceeds to the payment of the Obligations. Obligor understands that ESE is making such advances in reliance upon Obligor's agreement to such modification of the automatic stay.
14. In the event Obligor shall have defaulted upon its obligations under the Agreement prior to a bankruptcy filing under Chapters 7, 11, or 13 of the Federal Bankruptcy Code, in consideration of the advances made by ESE to Obligor under the Purchase and Sale of Future Receivables Agreement and other good and valuable consideration, Obligor shall reimburse ESE for all of ESE's reasonable cost and expenses (including, without limitation, reasonable legal fees and expenses including, but not limited to, any liquidated legal fees provided for within the Agreement) in connection with or arising out of this Agreement or any Default, enforcement or collection proceeding resulting therefrom, including, without limitation, all manner of participation in: (a) bankruptcy, insolvency, receivership, foreclosure, winding up, or liquidation proceedings of the Obligor, (b) judicial or regulatory proceedings in connection with the collection of the Obligations, and (c) workout, restructuring, and other negotiations or proceedings (whether or not any transaction contemplated thereby is consummated) in connection with the collection of the Obligations.
15. To the extent permitted by law, Obligor hereby waives demand for payment, notice of dishonor or protest, and all other notices of any kind in connection with the Obligations except notices required hereby, by law or by any other agreement between Obligor and ESE. ESE may release, exchange, or modify any Collateral or security which It may from time to time hold and may release, surrender, or modify the liability of any third party without giving notice hereunder to Obligor. Such modifications, changes, renewals, releases, or other actions shall in no way affect any of the Obligations or Obligor's other obligations hereunder.
16. Obligor will pay, indemnify, and hold harmless ESE from and against all costs and expenses (including taxes, if any) arising out of or incurred in connection with any transfer of Collateral into or out of the name of ESE.
17. Obligor(s) each agree to execute any documents or take any action in connection with this Agreement as ESE deems necessary to perfect or maintain ESE's priority security interest in the Collateral, together with any Additional Collateral and Cross-Collateral as the case may be, including the execution of any account control agreements. Seller and Guarantor each hereby authorize Company to file any financing statements deemed necessary by Company to perfect or maintain Company's security interest, which financing statement may contain

Initials: _____

notification that Seller and Guarantor have granted a negative pledge to Company with respect to the Collateral, the Additional Collateral and the Cross-Collateral, and that any subsequent lien or may be tortiously interfering with Company's rights.

18. Except as otherwise provided in this Agreement, all notices and other communications hereunder shall be deemed to have been sufficiently given when sent via electronic mail to jldelectric21@gmail.com and Submissions@eastshoreequities.com and/or when mailed, postage prepaid, by certified or registered mail, return receipt requested, and the sender shall have received such return receipt, or sent by trackable courier service, such notices or communications to be addressed as follows:

- If to ESE:\nEast Shore Equities SMB, LLC.\nAttn: Legal Department\n5788 Merrick Rd STE 205, Massapequa NY 11758\nSubmissions@eastshoreequities.com

- If to Obligor(s):\n9115 Creek Run, Ladson, SC 29456-3514\njldelectric21@gmail.com

or at such other address as the party to whom such notice or demand Is directed may have designated in writing to the other party hereto by notice as provided in this section 18. Each of the parties hereto shall have the right to rely on written notice sent by electronic mail as an original notice given hereunder. Each of the signatories to this Agreement irrevocably consents to service of process by Certified Mail at the address listed within this section. Each of the signatories to this Agreement agrees that its submission to jurisdiction and consent to service of process by mail is made for the express benefit of each of the other signatories to this Agreement.

19. No course of dealing between Obligor(s) and ESE, nor any delay in exercising, on the part of ESE, any right, power, or privilege hereunder shall preclude any other or further exercise thereof or the exercise of any other right, power, or privilege. The rights and remedies hereunder are cumulative and are in addition to, and not exclusive of, any rights or remedies provided by law or in equity, including, without limitation, the rights and remedies of a secured party under the Uniform Commercial Code. It is understood and agreed that all understandings and agreements heretofore had between the parties, if any, with respect to the subject matter hereof, are merged into this Security Agreement, which alone fully and completely expresses their agreement with respect thereto.

20. This Agreement and the rights and obligations of the parties hereunder shall be construed in accordance with and governed by the laws of the State of New York. The state courts located In Nassau County, State of New York, and the federal courts of the Eastern District of New York, shall have exclusive jurisdiction over all legal proceedings relating to this Agreement.

21. This Agreement shall be binding upon, and inure to, the benefit of the parties hereto and their respective successors and assigns, including any other holder(s) of any obligations, provided, however, that Obligor(s) shall have no rights of assignment without the prior written consent of ESE. This Agreement may be executed in one or more counterparts, each of which shall together constitute the same agreement. The invalidity or unenforceability of any provision hereof shall in no way affect the validity or enforceability of any other provision hereof. No modification, rescission, waiver, release, or amendment of this Security Agreement shall be made except by a written agreement executed by Obliger and ESE. A copy of this Agreement may be accepted as an original.

22. USE OF IDENTIFYING INFORMATION. It is expressly agreed and understood that in conjunction with this provision, Company may disclose identifying information including, but not limited to, the FEIN Number or Social Security Number of Seller or any Guarantor(s) to third parties with which Company communicates in its exercising of any remedies available to Company.

23. JURY TRIAL WAIVER. The parties hereto waive trial by jury in any court in any suit, action, or proceeding on any matter arising in connection with or in any way related to the transactions of which this Agreement is a part or the enforcement hereof. The parties hereto acknowledge that each makes this waiver knowingly, willingly, voluntarily, and without duress, and only after extensive consideration of the ramifications of this waiver with their attorneys.

24. CLASS ACTION WAIVER. The parties hereto waive any right to assert any claims against the other party as a representative or member in any class, representative, or collective action, except where such waiver is

prohibited by law as against public policy. To the extent either party is permitted by law or court of law to proceed with a class, representative, or collective action against the other, the parties hereby agree that: (1) the prevailing party shall not be entitled to recover attorneys' fees or costs associated with pursuing the class or representative action (notwithstanding any other provision in this Agreement); and (2) the party who initiates or participates as a member of the class will not submit a claim or otherwise participate in any recovery secured through the class or representative action. The parties hereto acknowledge that each makes this waiver knowingly, willingly, voluntarily, and without duress, and only after extensive consideration of the ramifications of this waiver with their attorneys.

25. WAIVER OF COUNTERCLAIMS. Seller waives the right to interpose any counterclaim in any court in any suit, action, or proceeding on any matter arising in connection with or in any way related to the transactions of which this Agreement is a part or the enforcement hereof. Seller acknowledges that it makes this waiver knowingly, willingly, voluntarily, and without duress, and only after extensive consideration of the ramifications of this waiver with their attorneys.

Initials: _____

26. ARBITRATION. Notwithstanding the foregoing, any dispute, claim, or controversy arising out of or relating to this Agreement, the Security Agreement or the guaranty(s) herein, or the breach of any of the said Agreement, Security Agreement or the guaranty(s), shall be, at the election of either party, settled by arbitration administered by Mediation and Civil Arbitration, Inc. d/b/a RapidRuling (www.rapidruling.com) in accordance with its Arbitration Rules & Procedures effective at the time a claim is made, and judgment on the award rendered by the arbitrator(s) may be entered in any court having jurisdiction thereof. An election to arbitrate by either party shall be deemed effective by the commencement of an arbitration proceeding with Mediation and Civil Arbitration, Inc. d/b/a RapidRuling. The parties' consent to electronic service of process, with service to be made to the following email addresses jldelectric21@gmail.com and Submissions@eastshoreequities.com and/or when mailed, postage prepaid, via 2-3-day shipping through a nationally recognized courier, including, but not limited to, the USPS, FedEx or UPS, such notices or communications to be sent to the addresses provided in section 18 hereof. The parties agree that, in the event of confirmation and enforcement,

[Remainder of Page Intentionally Left Blank]

Initials: _____

the delinquent party will be responsible for any attorney, court, or other fees associated with such action. The parties agree to split all Mediation and Civil Arbitration, Inc. d/b/a RapidRuling fees evenly and the commencing party shall be entitled to any unreimbursed monies paid on behalf of the non-commencing party within any award.

SELLER #1

By: _____
Signature
Print Name and Title
JULIO VELAZQUEZ VILLALOBOS/Owner
SS# 976-95-6559

SELLER #2

By: _____
Signature
Print Name and Title
/Owner
SS#

OWNER/GUARANTOR #1

By: _____
Signature
Print Name and Title
JULIO VELAZQUEZ VILLALOBOS/Owner

OWNER/GUARANTOR #2

By: _____
Signature
Print Name and Title
/Owner

Initials: _____

POWER OF ATTORNEY

KNOWN ALL BY THESE PRESENTS that I, JULIO VELAZQUEZ VILLALOBOS, principal and/or sole proprietor of JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference, doing business as JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference, at 9115 Creek Run, Ladson, SC 29456-3514 (hereinafter 'Grantor'), does hereby appoint East Shore Equities SMB, LLC., (hereinafter, "ESE") as my true and lawful attorney in fact:

1. To have full power and authority to direct any Merchant Processor being used by Grantor to make payments to ESE as contemplated under the Agreement dated 05/04/26 (the "Agreement") between Grantor and ESE;
2. To have full power and authority to direct any Merchant Processor being used by Grantor to direct the entirety of Grantor's credit card receivables to ESE in order to satisfy amounts due to ESE under the Agreement;
3. To have full power and authority to direct the Grantor's Bank and any and all other Banks in which Grantor or JULIO VELAZQUEZ VILLALOBOS holds an account to direct payment(s) to ESE as contemplated under the ACH/ADF Authorization Agreement between Grantor and ESE;
4. To communicate with Grantor's Bank and any and all other Banks to obtain information regarding the business accounts of Grantor, including without limitation, obtaining balances, account numbers, and copies of all statements and/or banking transactions;
5. To enter into, make, sign, execute, endorse, accept, and deliver any and all documents, agreements, contracts, or other writings, or to perform any other act, deed, matter, or thing to effectuate the intent of the Agreement dated 05/04/26 between Grantor and ESE;
6. To obtain and adjust insurance at ESE's expense;
7. To withdraw any monies held on account with any debt settlement companies;
8. To receive, endorse, negotiate, and collect any checks, notes, drafts, instruments, documents, or chattel paper in connection any amounts due to ESE as contemplated under the Agreement dated 05/04/26 (the "Agreement") between Grantor and ESE;
9. To cancel, modify, repudiate, or terminate any agreement(s) with any vendor, consultant, or service provider of Grantor;
10. To sign Grantor's name on any invoice, bill of lading, or assignment directing customers or account debtors to make payment directly to ESE;
11. To prepare, execute, file, and terminate, on behalf of the Grantor, mechanic's liens and all related notices and documents necessary to establish, perfect, foreclose, and release any lien for labor performed or materials furnished to improve real property.
12. To execute any lien waiver or general waiver, including but not limited to a mechanic's lien waiver, on behalf of the Grantor. The Grantor hereby agrees that the signature of ESE shall constitute a valid and binding waiver, sufficient to compel any Account Debtor (as defined by the UCC) to remit payment on Accounts that were contingent upon the Grantor's signed waiver.
13. To file any claims or take any action or institute any proceeding which Company may deem necessary for the collection of any of the undelivered Purchased Amount from the Collateral, or otherwise to enforce its rights with respect to payment of the Purchased Amount along with any applicable fees;
14. To create and negotiate a check or draft in Seller's name utilizing any account information on file in satisfaction of Seller's obligations to Company, Company's designee, or Company's nominee; and
15. To institute a wire transfer of funds from Seller's deposit account(s) to Company, Company's designee, or Company's nominee.

Initials: _____

I HAVE RECEIVED A COPY OF THIS POWER OF ATTORNEY AND I DO HEREBY STATE AND DECLARE THAT THIS POWER OF ATTORNEY SHALL NOT BE AFFECTED BY MY SUBSEQUENT DISABILITY OR INCOMPETENCE; AND FURTHER, I DO HEREBY RATIFY AND CONFIRM ALL WHATSOEVER MY SAID ATTORNEY SHALL DO OR CAUSE TO BE DONE BY VIRTUE OF THIS POWER OF ATTORNEY.

This Power of Attorney shall be used only upon Seller's violation of any of the terms of the Agreement dated 05/04/26 between Grantor and ESE.

IN WITNESS WHEREOF, the said JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference has caused this instrument to be signed, sealed and acknowledged by its duly authorized qualified officer, JULIO VELAZQUEZ VILLALOBOS this date 05/04/26. KNOW ALL BY THESE PRESENTS:

SELLER #1

By: _____

Signature

Print Name and Title

JULIO VELAZQUEZ VILLALOBOS/Owner
SS# 976-95-6559

JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference

Company

SELLER #2

By: _____

Signature

Print Name and Title

/Owner
SS#

JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference

Company

Initials: _____

Page 1 – APPENDIX A: THE FEE STRUCTURE

This Fee Disclosure ("Disclosure") forms a material part of the Agreement and sets forth the fees associated with this Agreement entered into between ESE/Company and the undersigned Seller as of the date first written above.

Standard Fees

- **Origination Fee:** \$1,560 (deducted from the funded amount)
- **NSF Fee:** The Seller shall be responsible for a non-sufficient funds (NSF) fee of **\$150.00 for each daily occurrence** or **\$300.00 for each weekly occurrence**, up to a maximum of **three occurrences on a daily payment schedule** or **two occurrences on a weekly payment schedule**, before a default is declared and a Default Fee is assessed. This fee is charged **each time an ACH transaction is declined for insufficient funds**. To avoid the NSF fee, Seller must provide written notice to the Company **at least one (1) business day prior** to the anticipated NSF event.
- **Stop Payment Fee:** \$2,000.00 if Seller blocks or reverses authorized ACH access
- **Default Fee:** The greater of \$3,000 or 35% of the total remaining balance on the Purchased Amount. This fee reflects a good-faith estimate of enforcement-related losses, including:
 - Legal and court filing fees
 - Staff time and system management
 - Collection vendor costs
 - Loss of contracted receivables
 - Administrative burdens and UCC actions
 - This fee **may exceed the funding amount**, which Seller deems fair due to the Company's fixed enforcement costs.
- **Monthly Servicing Fee:** \$95.00
- **UCC Filing Fee:** \$150.00
- **UCC Release Fee:** \$150.00
- **Bank Account Change Fee:** \$50.00
- **Subordination Processing Fee:** \$150.00 [See Section 1.22 (b)]
- **Closed Account Fee:** \$250.00 if account is closed without prior written notice

Seller agrees the Default Fee is a reasonable, negotiated estimate of Company's administrative, underwriting, and loss mitigation costs, which are difficult to calculate at execution. Parties agree this is a fair assessment given their sophisticated commercial status.

AUTHORIZATION AND CONSENT

Seller authorizes the Company to:

- Debit applicable fees from the designated account or add to the balance due
- Apply held funds toward assessed fees without additional notice
- Enforce its rights consistent with this schedule, and acknowledges these charges are **not penalties**, but fair compensation for Company's incurred damages and risks.

Initials: _____

LEGAL ADVICE

The Seller affirms that it had ample opportunity to consult with legal counsel of its choosing regarding this Disclosure, and was advised by the Company to do so.

By signing below, Seller affirms understanding and acceptance of all fee terms disclosed above.

SELLER #1

By: _____

Signature

Print Name and Title

JULIO VELAZQUEZ VILLALOBOS/Owner

SS# 976-95-6559

JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference

Company

SELLER #2

By: _____

Signature

Print Name and Title

/Owner

SS#

JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference

Company

Initials: _____

AUTHORIZATION AGREEMENT FOR DIRECT DEPOSITS (ACH CREDITS) AND DIRECT PAYMENTS (ACH DEBITS)

This Authorization Agreement for Direct Deposits (ACH Credits) and Direct Payments ("Daily or Weekly ACH Authorization") is part of (and incorporated by reference into) the Merchant Agreement (the "Agreement").

DEFINITIONS:

Company: East Shore Equities SMB, LLC

Merchant: JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference
(Merchant's Legal Name)

Merchant Agreement: Merchant Agreement Between Company and Merchant Dated 05/04/26

DESIGNATED CHECKING ACCOUNT INFORMATION

Account Number: 334079788931

Routing Number: 061000052

Capitalized terms used in this Authorization Agreement without definition shall have the meanings set forth in the Merchant Agreement. Merchant should keep a copy of this important legal document for Merchant's records. By signing below Merchant attests that the Designated Checking Account was established for business purposes and not for personal, family or household purposes.

DISBURSMENT OF PURCHASE PRICE. By signing below, Merchant authorizes Company to disburse the Purchase Price less any applicable fees set forth in the Agreement upon Advance approval by initiating an ACH credit to the bank account described below (or a substitute bank account Merchant later identifies and is acceptable to Company) (the "Account").

COLLECTION OF FUNDS ARISING FROM FUTURE RECEIPTS. By signing below, Merchant authorizes Company to collect the funds that Company is entitled to receive under the Agreement by initiating ACH debits to the Account as follows:

For an amount up to \$149.90 daily (or) Percentage of each banking deposit 4.9% together with a nonrefundable monthly fee of \$95 pursuant to section 1.22 of the terms and conditions of this PSFRA

On the following days: Each business day. On the business day immediately following any business day(s) on which Merchant's bank was not open or was not able to process ACH transactions, the Company will debit the Designated Bank Account for an amount equal to the sum of (i) the Daily or Weekly Payment amount due on that business day plus ii) the Daily or Weekly Payment amounts due on the proceeding business day(s) when the Bank was not open or could not process ACH transactions.

MISCELLANEOUS. Merchant understands that Merchant is responsible for ensuring that funds arising from Future Receipts remain in the Account each day until Company debits the amount that the Agreement authorizes Company to debit from the Account for that day. Company is not responsible for any overdrafts or rejected transactions that may result from the Company debiting any of Merchant's accounts. The ACH authorizations provided for in this agreement will remain in effect until Company has received written notification from Merchant of its termination in such time and in such manner as to afford Company and Merchant's depository bank a reasonable opportunity to act on it. Company is not responsible for any fees charged by Merchant's bank as the result of credits or debits initiated under this Agreement. The origination of ACH transactions to Merchant's accounts, including, but not limited to, the Account, must comply with the provisions of U.S. law and NACHA Rules.

MERCHANT SIGNATURE

Merchant's Legal Name: JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference

SELLER #1

By: _____

Signature

Print Name and Title

JULIO VELAZQUEZ VILLALOBOS/Owner

SS# 976-95-6559

SELLER #2

By: _____

Signature

Print Name and Title

/Owner

SS#

Initials: _____

AUTHORIZATION AGREEMENT FOR DIRECT DEPOSITS (ACH CREDITS) AND DIRECT PAYMENTS (ACH DEBITS)

This Authorization Agreement for Direct Deposits (ACH Credits) and Direct Payments ("Daily or Weekly ACH Authorization") is part of (and incorporated by reference into) the Merchant Agreement (the "Agreement").

DEFINITIONS:

Company: East Shore Equities, LLC

Merchant: JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference
(Merchant's Legal Name)

Merchant Agreement: Merchant Agreement Between Company and Merchant Dated 05/04/26

DESIGNATED CHECKING ACCOUNT INFORMATION

Account Number: 334079788931

Routing Number: 061000052

Capitalized terms used in this Authorization Agreement without definition shall have the meanings set forth in the Merchant Agreement. Merchant should keep a copy of this important legal document for Merchant's records. By signing below Merchant attests that the Designated Checking Account was established for business purposes and not for personal, family or household purposes.

DISBURSMENT OF PURCHASE PRICE. By signing below, Merchant authorizes Company to disburse the Purchase Price less any applicable fees set forth in the Agreement upon Advance approval by initiating an ACH credit to the bank account described below (or a substitute bank account Merchant later identifies and is acceptable to Company) (the "Account").

COLLECTION OF FUNDS ARISING FROM FUTURE RECEIPTS. By signing below, Merchant authorizes Company to collect the funds that Company is entitled to receive under the Agreement by initiating ACH debits to the Account as follows:

For an amount up to \$149.90 daily (or) Percentage of each banking deposit 4.9% together with a nonrefundable monthly fee of \$95 pursuant to section 1.22 of the terms and conditions of this PSFRA

On the following days: Each business day. On the business day immediately following any business day(s) on which Merchant's bank was not open or was not able to process ACH transactions, the Company will debit the Designated Bank Account for an amount equal to the sum of (i) the Daily or Weekly Payment amount due on that business day plus ii) the Daily or Weekly Payment amounts due on the proceeding business day(s) when the Bank was not open or could not process ACH transactions.

MISCELLANEOUS. Merchant understands that Merchant is responsible for ensuring that funds arising from Future Receipts remain in the Account each day until Company debits the amount that the Agreement authorizes Company to debit from the Account for that day. Company is not responsible for any overdrafts or rejected transactions that may result from the Company debiting any of Merchant's accounts. The ACH authorizations provided for in this agreement will remain in effect until Company has received written notification from Merchant of its termination in such time and in such manner as to afford Company and Merchant's depository bank a reasonable opportunity to act on it. Company is not responsible for any fees charged by Merchant's bank as the result of credits or debits initiated under this Agreement. The origination of ACH transactions to Merchant's accounts, including, but not limited to, the Account, must comply with the provisions of U.S. law and NACHA Rules.

MERCHANT SIGNATURE

Merchant's Legal Name: JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference

SELLER #1

By: _____

Signature

Print Name and Title

JULIO VELAZQUEZ VILLALOBOS/Owner

SS# 976-95-6559

SELLER #2

By: _____

Signature

Print Name and Title

/Owner

SS#

Initials: _____

Initials: _____

JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference DBA JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference and JULIO VELAZQUEZ VILLALOBOS & 9115 Creek Run, Ladson, SC 29456-3514

TO WHOM IT MAY CONCERN:

Re: Assignment of Accounts Receivable

Ladies and Gentlemen:

This letter will confirm that the undersigned has assigned its present and future accounts receivable to East Shore Equities SMB, LLC (the “Secured Party”), to whom all payments must be made, and shall constitute “reasonable proof that the assignment has been made” as that term is used in Section 9-406(c) of the Uniform Commercial Code.

You are irrevocably authorized and requested to rely on a photocopy or facsimile of this letter in lieu of the original. This letter supersedes any prior contrary communication which you may have received concerning the above, and may be rescinded only by the Secured Party in writing. Thus, it may not be rescinded by us.

By: _____

Signature

Print Name and Title

JULIO VELAZQUEZ VILLALOBOS/Owner
SS# 976-95-6559

JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference

Company

By: _____

Signature

Print Name and Title

/Owner
SS#

JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference

Company

PRE FUNDING QUESTIONNAIRE**Business Name:**

Best Contact Number:

Best Email Address:

What is the Nature of your business?

Total Current MCA Balances:

Current Bank Account Balance:

Were you always the owner of the business?

How long have you been in business?

What do you expect your gross revenue to be in the next 3 months: Month 1:

Month 2:

 Month 3:

What are you using the money for?

FACTORING TERMS**Estimated Remittance Amount:**

 \$149.90

Net Funding Deposit After Fees:

 \$11,440

Receivables Purchased Amount:

 \$19,487

Purchase Price:

 \$13,000

Do FULLY you understand the terms of this agreement?

Frequency:

 daily

QUESTIONS & DISCLOSURES**Answer**

Do you acknowledge and understand that this contract/agreement/transaction is not, in any way, a loan but rather a Factoring Agreement for the Factoring of your Receivables?

We do not make any promises regarding future funding. Has anyone made you any promises of a loan or further funding based on your performance with this advance?

Do you acknowledge and understand that during the underwriting process, we collect client/vendor/receivable/Account Debtors information by accessing your bank, credit card processing, or bookkeeping account login? This information will be used in the event of a default or breach of contract to enforce our Security Interest in your payments.

Do you acknowledge and understand that the client information we collect includes contact details, which may be used to send UCC Liens to your clients in the event of a default or breach?

Do you acknowledge and understand that a blanket UCC-1 security interest will be filed on all accounts receivable, receipts, instruments, contract rights, and other rights to receive payment of money, patents, chattel paper, licenses, leases, and general intangibles, whether currently owned or acquired in the future, as well as all books and records relating to any of the mentioned items? Additionally, do you understand that UCC lien notices may be served to known or suspected custodians or managers of the aforementioned in the event of a default or breach of contract?

As of the date of this Agreement, Seller represents that it is not insolvent, has not filed for bankruptcy protection, and there are no pending involuntary petitions against Seller. Seller further confirms that it has not consulted with a bankruptcy attorney within the past 6 months and has no intention of permanently or temporarily closing or ceasing operations for the 6-month period after this Agreement. Seller warrants that it does not anticipate filing a bankruptcy petition or facing an involuntary petition. Any misrepresentation of these statements will constitute a breach of contract.

I Declare under Penalty of Perjury (Under the Laws of the United States of America) that the foregoing is true and correct:

X

 Date:

Initials:

DECLARATION OF ORDINARY COURSE OF BUSINESS AND INFORMED PARTICIPATION

This Declaration is made and affirmed by the undersigned on behalf of themselves and JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference (collectively, the “Merchant”), in connection with a funding transaction with East Shore Equities SMB, LLC (the “Company”).

1. Voluntary Execution & Business Purpose

The undersigned declares under penalty of perjury that this transaction was entered into in the ordinary course of Merchant’s business for lawful commercial purposes, including but not limited to: working capital, payroll, vendor payments, or business continuity. The undersigned:

- Had adequate time to review the Agreement;
- Was not coerced or rushed;
- Had the opportunity to consult legal counsel;
- Did not rely on any oral promises or side deals;
- Executed the Agreement knowingly, voluntarily, and with full understanding.

2. Independent Business Judgment

The Merchant affirms that:

- No fraud, deception, or economic duress was involved;
- There was no abuse of bargaining power or manipulation;
- All terms were disclosed in writing and the Merchant had the ability to decline or negotiate;
- The Merchant is not relying on future performance guarantees or unwritten promises.

3. Waiver of Defenses

The Merchant irrevocably waives the right to assert now or later that:

- It acted under economic duress or coercion;
- The Agreement was outside the ordinary course of business;
- It lacked capacity or legal understanding;
- It was misled or pressured;
- The Company engaged in unfair or deceptive practices.

4. Governing Law & Enforcement

This Declaration is governed by the laws of the State of New York and may be used as evidence of the Merchant’s knowing and voluntary consent to the Agreement.

5. Penalty of Perjury

The undersigned declares under penalty of perjury under the laws of the United States of America and the State of New York that the foregoing is true and correct.

Executed on 05/04/26

(Date)

FOR THE OWNER/SELLER (#1)

By: _____

JULIO VELAZQUEZ VILLALOBOS

(Print Name and Title)

(Signature)

FOR THE OWNER/SELLER (#2)

By: _____

(Print Name and Title)

(Signature)

Initials: _____

SALES-BASED FINANCING DISCLOSURE FORM	
Disclosure Date:	05/04/26
Recipient's Name	JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference
Recipient's Address	9115 Creek Run, Ladson, SC 29456-3514
Provider's Address	East Shore Equities SMB, LLC P.O. Box 18, Centereach, NY 11720
Providers Phone Number:	516-231-5595
Provider's E-Mail Address:	Submissions@eastshoreequities.com
Total Amount of the Sales-Based Financing	\$13,000
Fees Deducted or Withheld at Disbursement	\$1,560
Disbursement Amount [Total Amount of the Sales-Based Financing minus (-) Fees Deducted or Withheld at Disbursement] Please note: In the case of a renewal, the "Disbursement Amount" mentioned above may also include the payoff of your current outstanding balance.	\$11,440
Finance Charge	\$1,560
Total Repayment Amount [Disbursement Amount plus (+) Finance Charge]	\$19,487
Total Cost [Repayment amount (-) Disbursement Amount] this figure does not include all other potential fees that can be incurred throughout the life of this contract.	\$8,047.00
Estimated Number of Payments [Number of payments expected, based on the projected sales volume, to equal the Total Repayment Amount] A reasonable range may be provided ONLY for transactions with a variable payment schedule.	130
Payment Schedule	
Amount of each payment:	\$149.90
Frequency of payments:	daily
Method of Payment:	ACH Debit

Initials: _____

Description of All Other Potential Fees and Charges NOT Included in the Finance Charge	See Appendix A: The Fee Structure, for more information. Fee Amount \$1,560 NSF Fee: \$150/per occurrence (if Daily) or \$300/per occurrence if weekly. Rejected ACH/Unauthorized Account Fee/Blocked Account: \$2,000 Default Fee: \$3,000 or 35% of balance whichever is greater . Service Fee: \$195/per month UCC Filing Fee: \$150 UCC Release Fee: \$150
Description of Collateral Requirements or Security Interests	A continuing UCC-1 security interest in all of Merchant's presently owned or hereafter acquired (a) goods, (b) instruments, (c) promissory notes, (d) chattel paper including electronic chattel paper and tangible chattel paper, (e) documents, (f) books and records, (g) accounts, (h) accounts receivable, (i) commercial tort claims, (j) general intangibles, (k) payment intangibles, and (l) software, together with all proceeds and all support obligations thereof. Secured Party's security interest is explicitly limited to outstanding obligations between Secured Party and Merchant. The term "obligations" shall mean and include all indebtedness, liabilities, and obligations of any nature, however arising whether monetary or otherwise, now existing or hereafter arising in favor of Secured Party, including any attorney's fees and expenses to which Secured Party may be entitled.
Amount of compensation being paid directly to broker:	Up to \$1,560
Description of Prepayment Policies	Merchant May Prepay at any time. There will be no prepayment penalty. If prepaying early please contact Submissions@eastshoreequities.com to discuss early payoff discounts

I acknowledge that I have received read and fully understand this copy of this disclosure form. I also agree and acknowledge that the Broker has not charged me an advanced fee and has disclosed their actual address and telephone number on all of their advertisements.

I acknowledge that I have received read and fully understand this copy of this disclosure form. I also agree and acknowledge that the Broker has not charged me an advanced fee and has disclosed their actual address and telephone number on all of their advertisements.

Seller: #1

BY: X _____

NAME: JULIO VELAZQUEZ VILLALOBOS

TITLE: OWNER

SSN: 976-95-6559

Seller: #2

BY: X _____

NAME:

TITLE: OWNER

SSN:

Initials: _____

AUTHORIZATION TO ESE

Seller hereby irrevocably authorizes East Shore Equities SMB, LLC ("ESE"), and any designee of ESE, at Seller's sole expense, to exercise, at any time and at the discretion of ESE or its designee, any or all of the following powers until all obligations have been paid in full and ESE has filed or authorized the filing of a UCC Financing Statement terminating its Security Interest:

- (a) Receive, endorse, assign, deliver, accept, and deposit, in the name of ESE or Seller, any and all cash, checks, commercial paper, drafts, remittances, and other instruments and documents related to the Purchased Accounts, Collateral, and Proceeds thereof.
- (b) Take or initiate, in the name of ESE or Seller, any necessary or desirable steps, actions, suits, or proceedings to effect collection of or realization upon the purchased accounts and collateral.
- (c) Execute Financing Statements or amendments in the name of Seller and file them against Seller in favor of ESE with respect to the collateral.
- (d) Pay any sums necessary to discharge any lien or encumbrance that is or may become senior to ESE's Security Interest in the Collateral, or that may, in ESE's judgment, interfere inappropriately with ESE's rights. Such sums shall be included as Obligations hereunder, and late/default charges shall accrue and be due and payable in connection with said sums.
- (e) File mechanics lien or related notices or claims under any payment bond, in connection with goods or services sold by Seller for the improvement of realty, in the name of Seller or ESE or both.
- (f) Notify, at any time and without notice to or the assent of Seller, any Account Debtor obligated or suspected to be obligated (at ESE's sole discretion) regarding any account that the account has been assigned to ESE by Seller and that payment thereof is to be made solely to ESE.
- (g) Communicate directly with Seller's Account Debtors, or suspected account debtors, to verify the amount and validity of any account created by Seller.
- (h) ESE may, but has no duty to, and Merchant/Seller hereby authorizes ESE to, execute and file, on behalf of Merchant/Seller or in ESE's name, mechanic's liens and all other notices and documents to create, perfect, foreclose and/or release any lien for work performed or materials provided to improve real property. Except as otherwise instructed by ESE, Merchant/Seller is authorized to file any such mechanics liens and other notices and documents at Merchant/Seller's discretion. Merchant/Seller hereby agrees that any release or mechanic's lien waiver signed by ESE on behalf of Merchant/Seller shall be sufficient release for any Account Debtor (as Defined by the UCC) to release any payment on Accounts and to effect the deposit and collection thereof.

Furthermore, Seller authorizes ESE, at its sole discretion, to reveal and release Personal Identification Information (such as date of birth, social security number, home address, EIN, etc.) in an effort to locate potential balances and accounts. Seller hereby releases, exculpates, and holds ESE, its officers, employees, and designees harmless from any liability arising from acts under this Agreement, whether of omission or commission, except in cases of willful misconduct. Seller also releases any claims arising from ESE's endorsement and deposit of checks issued by Seller's customers stating that they were in full payment of an account, but were issued for less than the full amount owed on the account. ESE shall not be liable to Seller for lost profits or other special or consequential damages. Additionally, ESE shall not be liable for any damages, special or consequential, arising from the disclosure of Personal Identification Information or any other information, or any interference by ESE in its communication with suspected account debtors.

I, the undersigned acknowledge that I have read, comprehended, and accepted all the provisions stated above.

By: _____

Signature

Print Name and Title

JULIO VELAZQUEZ VILLALOBOS/Owner

SS# 976-95-6559

JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference

Company

By: _____

Signature

Print Name and Title

/Owner

SS#

JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference

Company

Initials: _____

CONSENT AND ACKNOWLEDGEMENT OF LIQUIDATED DAMAGES AND FEES

(Page 1)

This Consent and Acknowledgement ("Consent") is made by and between JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference ("Seller") and East Shore Equities SMB, LLC ("Company").

1. Acknowledgement of Reasonable and Enforceable Fees

Seller affirms that it is a sophisticated commercial party capable of understanding the terms of the Agreement and has had ample opportunity to consult with legal counsel. Seller acknowledges and agrees that the fees and charges set forth in the Agreement and Appendix A: The Fee Structure were fairly disclosed, reasonably estimated, and are enforceable liquidated damages under New York law—not penalties.

2. Understanding of Enforcement Costs and Proportionality

Seller acknowledges that:

- The Company's cost of enforcement does not scale with the size of the funding;
- Legal, administrative, and recovery costs may be equal or greater for small deals;
- Therefore, it is commercially reasonable that certain fees, including the Default Fee, may equal or exceed the amount funded , especially on small transactions;
- Seller voluntarily assumes this risk and deems it fair, given that the fees are avoidable through compliance with the Agreement.

2A. Arm's Length Negotiation; No Exploitation

The Seller affirms that the Agreement and Fee Structure were negotiated at arm's length, with full opportunity to ask questions and consult with legal counsel. The Seller further confirms that it was not coerced, pressured, or induced under circumstances of financial desperation, and that the Company did not exploit any perceived hardship or urgency. The Seller entered into this Agreement knowingly, voluntarily, and with full awareness of its legal and financial consequences.

3. Specific Acknowledgement of Default Fee Formula

Seller agrees that the Default Fee is calculated as the greater of \$3,000 or 35% of the total remaining balance on the Purchased Amount , and that this amount reflects a good-faith estimate of anticipated damages resulting from breach, default, interference with ACH access, or other events requiring enforcement. Seller affirms that this formula is reasonable and foreseeable , not arbitrary or excessive.

4. Waiver of Defenses and Objections

The Seller knowingly waives any and all defenses or objections to the enforceability of the liquidated damages or fee provisions, including without limitation:

- Claims of unconscionability, excessiveness, or lack of proportionality;
- Claims that the fees operate as unenforceable penalties;
- Any assertion that the damages are speculative or unreasonably high;
- Any failure to independently calculate or anticipate the cost of breach.
- This waiver shall not impair any statutory rights unavailable for waiver under applicable law.

Initials: _____

Continued - CONSENT AND ACKNOWLEDGEMENT OF LIQUIDATED DAMAGES AND FEES
(Page 2)

5. No Coercion; Opportunity for Counsel

Seller affirms that this Consent was entered into voluntarily, without coercion or misrepresentation, with full knowledge of the consequences and the opportunity to seek legal advice.

6. Governing Law and Severability

This Consent shall be governed by the laws of the State of New York. If any provision is deemed invalid or unenforceable, the remainder shall continue in full force and effect.

OWNER/GUARANTOR #1

By: _____

Signature

Print Name and Title

JULIO VELAZQUEZ VILLALOBOS/Owner

SS# 976-95-6559

OWNER/GUARANTOR #2

By: _____

Signature

Print Name and Title

/Owner

SS#

Initials: _____

CONSENT AND ACKNOWLEDGEMENT OF GOVERNING LAW, VENUE, JURISDICTION, AND ARBITRATION

This Consent and Acknowledgement ("Consent") is made by and between JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference ("Seller") and East Shore Equities SMB, LLC ("Company").

1. Acknowledgment of Governing Law, Venue, Jurisdiction, and Arbitration

1.1 Informed Consent to Governing Law and Venue

The Seller irrevocably acknowledges and agrees that:

- This Agreement shall be governed by and construed in accordance with the laws of the State of New York, without regard to its conflict of laws principles.
- Any and all legal proceedings or arbitration proceedings arising from or relating to the Agreement shall be brought exclusively in either (a) the courts of the State of New York, County of New York (Manhattan), or (b) binding arbitration administered in accordance with New York law.

1.2 Express Agreement to Jurisdiction and Waiver of Objections

The Seller knowingly, voluntarily, and irrevocably consents to the exclusive jurisdiction of the State and Federal courts located in Nassau County, New York. The Seller:

- Waives any and all objections to jurisdiction or venue on the grounds of forum non conveniens, inconvenience, or otherwise.
- Agrees that any challenge to jurisdiction, venue, arbitration, or enforcement of any judgment shall constitute a material breach of the Agreement.

1.3 Legal Consultation and Acknowledged Understanding

The Seller affirms that:

- They had a full and fair opportunity to consult with independent legal counsel before signing.
- They are not relying on any oral representation or side agreement regarding the venue, law, or arbitration terms.
- They understand the legal consequences of consenting to New York law and jurisdiction and waive any requirement of further legal consultation.

1.4 Enforceability and Waiver of Defenses

The Seller expressly waives any defense to enforcement of the foregoing provisions, including without limitation:

- Claims of lack of sophistication,
- Procedural or substantive unconscionability,
- Economic duress,
- Inequality of bargaining power,
- Or alleged lack of opportunity to negotiate or consult counsel.

The Seller acknowledges that this Consent was executed at arm's length, in good faith, and with full awareness of the legal implications.

2. Binding Effect

This Consent shall be binding upon the Seller, their agents, representatives, heirs, successors, and assigns, and shall be enforceable in any court of competent jurisdiction, including but not limited to courts in the State of New York.

3. Severability

If any provision of this Consent is found to be invalid, illegal, or unenforceable in whole or in part, the remaining provisions shall remain in full force and effect.

4. Governing Law

This Consent shall be governed by and construed in accordance with the laws of the State of New York, and the parties expressly waive the application of any conflicting laws of any other state or jurisdiction.

IN WITNESS WHEREOF, the undersigned have executed this Consent as of 05/04/26.

OWNER/GUARANTOR #1

By: _____

Signature

Print Name and Title

JULIO VELAZQUEZ
VILLALOBOS/Owner
SS# 976-95-6559

OWNER/GUARANTOR #2

By: _____

Signature

Print Name and Title

/Owner
SS#

Initials: _____

ADDENDUM TO AGREEMENT FOR PURCHASE AND SALE OF FUTURE RECEIVABLES

This Addendum ("Addendum") is entered into as of 05/04/26 , by and between East Shore Equities SMB, LLC , with a principal place of business at P.O. Box 18, Centereach, NY 11720 ("Company"), and JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC , and each additional entity listed in Schedule A attached hereto and incorporated herein by reference , with a principal place of business at 9115 Creek Run, Ladson, SC 29456-3514 ("Seller").

This Addendum modifies and supplements the AGREEMENT FOR PURCHASE AND SALE OF FUTURE RECEIVABLES between the Company and the Seller, dated 05/04/26 , and is incorporated into the Agreement by reference.

Modification Clause

1. Company's Right to Modify for Legal Compliance: The Company reserves the right to unilaterally amend or modify this Agreement solely to comply with applicable laws, regulations, or court rulings that affect the enforceability or interpretation of the Agreement. Any such modification shall be limited to the extent necessary to comply with such legal requirements.

2. Notification of Modifications: The Company shall provide the Seller with written notice of any proposed modification at least 30 days prior to the proposed effective date of such modification. Notice shall be deemed effectively given if delivered by email to the following addresses:

- Company's Email Address : Submissions@eastshoreequities.com
- Seller's Email Address : jldelectric21@gmail.com

3. Both parties agree to promptly notify each other of any changes to their respective email addresses. Notices sent by email shall be deemed received upon confirmation of delivery or, if no confirmation is requested or received, upon the sending party's reasonable belief that the email was delivered (e.g., absence of a "bounce-back" email or error message).

4. Objection Period and Good Faith Negotiation: Upon receiving notice of a proposed modification, the Seller shall have the right to object in writing within 15 days of receipt of such notice. The objection must be delivered by email to the Company's email address specified above.

In the event of an objection, the Company and Seller agree to negotiate in good faith to reach a mutually acceptable modification. If no written objection is received within the 15-day period, the modification will be deemed accepted and will become effective on the proposed effective date as specified in the notice.

5. Nullification of Unauthorized Modifications: Any modification to this Agreement that is not executed in accordance with the terms of this Addendum, or not made by the Company in accordance with the legal compliance clause, shall be null and void.

6. No Impact on Original Agreement: If any provision of this Addendum is held to be invalid, illegal, or unenforceable by a court of competent jurisdiction, such invalidity, illegality, or unenforceability shall not affect any other provision of this Addendum or the validity or enforceability of the original Agreement for Purchase and Sale of Future Receivables, which shall remain in full force and effect.

7. No Other Changes to the Agreement: Except as expressly modified by this Addendum, all terms and conditions of the original Agreement shall remain in full force and effect.

Initials: _____

Acknowledgment and Execution:

This Addendum has been reviewed by both parties. Each party acknowledges that it has had the opportunity to review this Addendum and seek independent legal advice before signing.

IN WITNESS WHEREOF, the parties hereto have executed this Addendum as of the Effective Date.

SELLER #1

Individually, and on behalf Seller

By: _____

Signature

Print Name and Title

JULIO VELAZQUEZ VILLALOBOS/Owner

SS# 976-95-6559

SELLER #2

Individually, and on behalf Seller

By: _____

Signature

Print Name and Title

/Owner

SS#

OWNER/GUARANTOR #1

By: _____

Signature

Print Name and Title

JULIO VELAZQUEZ VILLALOBOS/Owner

OWNER/GUARANTOR #2

By: _____

Signature

Print Name and Title

/Owner

Initials: _____

SCHEDULE A – LIST OF MERCHANT ENTITIES

Part of the Agreement for Purchase and Sale of Future Receivables

This Schedule A is attached to and forms a part of that certain Agreement for Purchase and Sale of Future Receivables dated 05/04/26 (the “Agreement”), entered into by and between East Shore Equities SMB, LLC (“Company”) and JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC, together with all additional entities listed below (each, individually, a “Merchant Entity,” and collectively, with JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC, the “Merchant”).

Each Merchant Entity listed below is hereby deemed to be the “Merchant” as that term is used throughout the Agreement and all documents executed in connection therewith, including but not limited to references to “Seller,” “Grantor,” or “Obligor”, all of which shall be construed interchangeably to refer to JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC and all entities listed herein. Each such entity is jointly and severally liable under all terms of the Agreement and all related documents, including without limitation:

- The Agreement for Purchase and Sale of Future Receivables (PSFRA)
- The Seller Agreement Terms and Conditions
- The Security Agreement
- The Power of Attorney
- The Personal Guaranty(s) of Performance
- Appendix A: The Fee Structure
- And any and all exhibits, riders, schedules, appendices, or notices incorporated therein or executed in conjunction therewith

Each Merchant Entity listed below expressly agrees, acknowledges, and affirms the following:

1. It is jointly and severally bound by all terms, obligations, representations, waivers, and authorizations in the Agreement and related documents;
2. It is fully bound by the Security Agreement, and consents to the filing of UCC-1 Financing Statements against it without further notice;
3. It is fully subject to the Power of Attorney contained within the Agreement;
4. It is fully subject to any Personal Guaranty(s) of Performance;
5. It is fully subject to enforcement under UCC § 9-406, including redirection of payments to Company from any account debtor or third-party payor;

Initials: _____

6. The execution of this Schedule A by any one listed Merchant Entity constitutes agreement by all listed entities;
7. Electronic signatures on this Schedule A and the Agreement are valid and enforceable pursuant to the ESIGN Act and UETA, and shall carry the full legal force of a handwritten signature.

#	Legal Business Name	Entity Type	State	Business Address
1	JL&D	DBA	SC	9115 Creek Run, Ladson, SC 29456-3514

By signing below, each Merchant Entity affirms it has reviewed and agreed to all terms of the Agreement and confirms it is fully bound by all referenced and incorporated documents.

By: _____
Signature
Print Name and Title
JULIO VELAZQUEZ VILLALOBOS/Owner
SS# 976-95-6559

By: _____
Signature
Print Name and Title
/Owner
SS#

OWNER/GUARANTOR #1

By: _____
Signature
Print Name and Title
JULIO VELAZQUEZ VILLALOBOS/Owner

OWNER/GUARANTOR #2

By: _____
Signature
Print Name and Title
/Owner

Initials: _____

Dear Merchant,

Thank you for accepting this offer. We look forward to being your funding partner for as long as you need.

We will require, read only, viewing access to your bank account, prior to funding, as part of our underwriting process.

Please fill out the form below with the information necessary to access your account. **Please ensure that the information is correct to avoid delays in your funding:**

* **Be sure to indicate capital or lower case letters.**

Name of bank:

Bank portal website:

Username:

Password:

Security Question/Answer 1:

Security Question/Answer 2:

Security Question/Answer 3:

Any other information necessary to access your account:

Please note: In the event that a security code is sent to you, we will be calling you to obtain this code from you.

Please provide your best contact number here: _____

If you have any questions please contact your broker/ISO

Initials: _____

**ADDENDUM – UNIVERSAL INTERMEDIARY / ISO
(BROKER) STIPULATION,
NON-AGENCY, WAIVER, AND INDEMNITY**

(Executed in conjunction with the Agreement dated 05/04/26)

This Addendum (“Addendum”) is entered into as of 05/04/26, by and between East Shore Equities SMB, LLC (“Company” or “ESE”) and JL&D Electric LLC and JULIO VELAZQUEZ VILLALOBOS DBA JL&D Electric LLC, and each additional entity listed in Schedule A attached to the Agreement and incorporated herein by reference (“Seller”). This Addendum is incorporated into and forms a material part of the Agreement for Purchase and Sale of Future Receivables and all related documents executed in connection therewith (collectively, the “Agreement”).

1. Purpose; Standard Commercial Protocol

Seller acknowledges this Addendum is a standard commercial protocol used by Company in all transactions and all jurisdictions to document the independent status of any intermediary, confirm Seller’s selection and responsibility for that intermediary, and allocate intermediary-related risk between sophisticated business parties. This Addendum is not legal advice and does not limit any governmental authority. All rights are expressly reserved.

2. Roles; Provider vs. Broker; Business Purpose

Seller acknowledges and agrees that Company is acting solely as the direct counterparty and commercial financing / receivables-purchase provider, and not as Seller’s broker, intermediary, finder, or arranger of financing. Any ISO, broker, consultant, referral source, or other intermediary (the “Broker”) is a separate person engaged by Seller and is not a provider.

Seller further confirms, consistent with the Agreement, that the Transaction is entered into solely for business or commercial purposes in connection with Seller’s business and not for personal, family, or household use.

3. Seller-Selected Broker; No Agency; No Authority

Seller represents and agrees that any Broker involved in introducing Seller to Company or assisting Seller with the submission of information was selected by Seller. Broker is an independent third party and is not Company’s agent, employee, partner, joint venturer, or affiliate, and has no actual or apparent authority to bind Company or make commitments on Company’s behalf.

Seller acknowledges Broker may present Seller’s file to other funding sources, and any duties Broker may owe are owed exclusively to Seller, not to Company.

Initials: _____

4. Administrative Communications Only; Not Evidence of Agency

Seller agrees that any communications between Company and Broker (if any) are solely for **administrative convenience** (including submission of Seller documents, status updates, scheduling, and logistics) and are **not evidence** of agency, control, sponsorship, supervision, or vetting by Company.

5. No Reliance on Broker Statements; Written Terms Control

Seller agrees Seller is **not relying** on any Broker statement as a statement of Company. Only the written Agreement and written disclosures provided by Company govern the Transaction. Seller agrees Company is not responsible for any representations, explanations, estimates, or promises made by Broker.

Seller further agrees that any prior, contemporaneous, or subsequent oral or written statements by any Broker or other third party that purport to modify, expand, or contradict the Agreement are superseded and of no force or effect as to Company, and Seller will not assert any claim against Company based on any such statements.

6. Broker Compliance Is Seller's Responsibility

Seller acknowledges that various state and/or federal laws may impose licensing, registration, bonding, disclosure, or other compliance requirements on brokers or intermediaries. Seller agrees Seller is **solely responsible** for selecting Broker and for verifying whether Broker is compliant with any laws applicable to Broker.

Company makes no representations regarding Broker compliance and undertakes **no duty** to supervise, monitor, or ensure Broker compliance.

Seller agrees that any alleged Broker non-compliance does **not** affect the validity or enforceability of Seller's obligations to Company under the Agreement.

7. Broker Fees / Commissions; Funding Mechanics; No Control

Seller acknowledges and agrees:

(a) Any Broker fee or commission is a **separate commercial arrangement** between Seller and Broker and is separate and apart from Company's fees set forth in the Agreement (including Appendix A).

(b) Seller expressly authorizes Company, if the Transaction closes, to **remit Broker compensation solely as a payment conduit on Seller's behalf**, out of amounts otherwise payable to Seller (including from the gross disbursement before net funding), in a manner consistent with the Agreement's disclosed fee structure and any disclosures delivered with the Agreement (including any "Fees Deducted or Withheld at Disbursement").

(c) Seller acknowledges that even if Company physically remits Broker compensation, the **economic burden** of such compensation is borne by Seller as a cost of Seller's independent engagement of Broker, and such remittance does not create any agency, employment, partnership, joint venture, or supervisory relationship between Company and Broker, nor any independent obligation of Company to Broker.

Initials: _____

(d) Seller acknowledges Broker compensation was not increased, decreased, or manipulated by Company to influence Seller's decision, and Company did not adjust pricing or terms to create a hidden "upsell" for Broker.

(e) **Integration with Disclosure Form.** Seller acknowledges that the Sales-Based Financing Disclosure Form provided with the Agreement lists a "Fee Deducted or Withheld at Disbursement," and Seller expressly understands and agrees that this line item may include, in whole or in part, compensation due to Broker under Seller's separate agreement. This accounting treatment is for transparency and compliance purposes and does not alter the independent, non-agency relationship between Company and Broker.

8. Validity; No Broker-Based Defenses; UCC Rights Preserved

Seller agrees that any alleged defect, omission, misconduct, or non-compliance by Broker (including any licensing, registration, bonding, or disclosure issue) is **collateral** and shall not be asserted as a basis to rescind, void, delay, reduce, offset, counterclaim, or otherwise impair Seller's obligations to Company under the Agreement. Seller is estopped from taking any position inconsistent with this Addendum.

Seller further agrees that Broker-related issues do not affect Company's status or rights under the Agreement, including any rights relating to collateral, security interests, and payment redirection or enforcement under applicable UCC concepts.

9. Waiver of Broker-Related Claims

Seller knowingly waives any and all claims against Company and its parents, affiliates, shareholders, officers, directors, employees, agents, successors, and assigns arising out of or relating to Broker, including Broker selection, Broker conduct, Broker statements, Broker compliance status, and any Broker fee dispute.

10. Defense and Indemnity

Seller and the undersigned Owner/Guarantor(s) jointly and severally agree to **defend (with counsel reasonably acceptable to Company), indemnify, and hold harmless** Company and its parents, affiliates, shareholders, officers, directors, employees, agents, successors, and assigns from and against any and all losses, claims, damages, penalties, liabilities, judgments, and reasonable attorneys' fees and costs arising out of or relating to:

- (i) Seller's selection, engagement, or relationship with Broker;
- (ii) any claim or allegation that Broker acted as Company's agent, representative, or affiliate;
- (iii) any dispute between Seller and Broker regarding fees, commissions, services, or statements; or
- (iv) any governmental inquiry, investigation, or proceeding **based primarily** on Broker's role, status, conduct, or compliance.

Credibility guardrail: This Section does not require Seller to indemnify Company for Company's own independent, non-waivable legal obligations (if any) that apply solely by virtue of Company's status as a provider.

Initials: _____

11. Reliance; Remedies; Survival; No New Duties

Seller acknowledges Company is entering into the Agreement in **express reliance** on this Addendum. Any material breach of this Addendum constitutes a material breach of the Agreement and Company may pursue any remedies available under the Agreement and applicable law, including termination (where applicable) and damages.

All terms of this Addendum **survive** execution, funding, default, and termination of the Agreement.

Nothing in this Addendum creates any duty for Company to investigate, supervise, or police Broker; all rights are expressly reserved.

12. Entire Agreement on Broker Matters; Control Clause

This Addendum constitutes the **entire agreement** between Seller and Company regarding Broker's role and the absence of any agency relationship between Company and Broker and supplements the broker/ISO acknowledgments contained elsewhere in the Agreement.

Control clause: In the event of any conflict between the terms of the Agreement and this Addendum regarding the Broker's role, authority, compensation, compliance, liability allocation, waiver, or indemnity, **the terms of this Addendum shall control and govern.**

13. Governing Law; Venue; Arbitration; Consistency

This Addendum is governed by and construed in accordance with the **same governing law, venue, jurisdiction, and arbitration provisions set forth in the Agreement**, which are incorporated herein by reference.

14. Electronic Signatures; Counterparts

Electronic signatures and delivery are valid and enforceable. This Addendum may be executed in counterparts, each of which shall be deemed an original.

Initials: _____

REQUIRED ACKNOWLEDGMENT BY INITIALS

(Seller and each Owner/Guarantor must initial each line)

- ☐ _____ Broker is not Company’s agent and cannot bind Company.
- ☐ _____ I selected the Broker; Company did not choose or require one.
- ☐ _____ Broker compliance is my responsibility, not Company’s.
- ☐ _____ Broker issues are not a defense to my obligations.
- ☐ _____ Broker fees are my cost; Company remits as a conduit only.
- ☐ _____ I waive broker-related claims and agree to indemnify Company.

VOLUNTARY EXECUTION & OPPORTUNITY FOR COUNSEL

The undersigned Seller and Guarantors affirm that they have read this Addendum separately from the Agreement, had the opportunity to consult independent legal counsel, and are signing knowingly, voluntarily, and without coercion or duress.

Seller: #1

BY: X _____
NAME: JULIO VELAZQUEZ VILLALOBOS
TITLE: OWNER
SSN: 976-95-6559

Seller: #2

BY: X _____
NAME:
TITLE: OWNER
SSN:

Initials: _____